

# **POSCO HOLDINGS INC. and its subsidiaries**

Interim condensed consolidated financial statements  
for each of the six-month periods ended June 30, 2025 and 2024  
with the independent auditor's review report

**POSCO HOLDINGS INC.  
and its subsidiaries**

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### Interim condensed consolidated financial statements

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**Report on review of interim condensed consolidated financial statements**  
(English translation of a report originally issued in Korean)

**The Stockholders and Board of Directors**  
**POSCO HOLDINGS INC.**

We have reviewed the accompanying interim condensed consolidated financial statements of POSCO HOLDINGS INC. and its subsidiaries (collectively referred to as the “Group”), which comprise the interim condensed consolidated statement of financial position as of June 30, 2025, and the related interim condensed consolidated statements of comprehensive income or loss for each of the three-month and six-month periods ended June 30, 2025 and 2024, interim condensed consolidated statements of changes in equity and interim condensed consolidated statements of cash flows for each of the six-month periods ended June 30, 2025 and 2024, and a summary of material accounting policy information and other explanatory information.

**Management’s responsibility for the interim condensed consolidated financial statements**

Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1034 *Interim Financial Reporting*, and for such internal control as management determines is necessary to enable the preparation of interim financial statements that are free from material misstatement, whether due to fraud or error.

**Auditor’s responsibility**

Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

We conducted our review in accordance with the Review Standards for Quarterly and Semiannual Financial Statements established by the Securities and Futures Commission of the Republic of Korea. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Korean Standards on Auditing (“KSA”) and, consequently, does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

**Conclusion**

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with KIFRS 1034 *Interim Financial Reporting*.

#### Other matters

We have audited the consolidated statement of financial position of the Group as of December 31, 2024, and the related consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended (not presented herein) in accordance with KSA, and our report dated March 12, 2025 expressed an unqualified opinion thereon. The accompanying consolidated statement of financial position as of December 31, 2024, presented for comparative purposes, is not different, in all material respects, from the above audited consolidated statement of financial position.

*Ernst & Young Han Young*

August 14, 2025

This review report is effective as of August 14, 2025, the independent auditor's review report date. Accordingly, certain material subsequent events or circumstances may have occurred during the period from the date of the independent auditor's review report to the time this review report is used. Such events and circumstances could significantly affect the accompanying interim condensed consolidated financial statements and may result in modification to this review report.

# **POSCO HOLDINGS INC. and its subsidiaries**

Interim condensed consolidated financial statements  
for each of the six-month periods ended June 30, 2025 and 2024

“The accompanying interim condensed consolidated financial statements, including all footnotes and disclosures, have been prepared by, and are the responsibility of, the Group.”

Ju tae Lee  
Representative Director & President  
POSCO HOLDINGS INC.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Interim condensed consolidated statements of financial position**  
**as of June 30, 2025 (Unaudited) and December 31, 2024**

| <i>(in millions of Won)</i>                        |                  |   | <b>June 30, 2025</b> | <b>December 31,</b> |
|----------------------------------------------------|------------------|---|----------------------|---------------------|
|                                                    | <b>Notes</b>     |   | <b>(unaudited)</b>   | <b>2024</b>         |
| <b>Assets</b>                                      |                  |   |                      |                     |
| Cash and cash equivalents                          | 21               | ₩ | 7,002,287            | 6,767,898           |
| Trade accounts and notes receivable, net           | 4,15,21,25,26,33 |   | 11,095,199           | 10,821,620          |
| Other receivables, net                             | 5,21,33          |   | 2,092,894            | 2,261,323           |
| Other short-term financial assets                  | 6,21             |   | 9,768,854            | 8,499,389           |
| Inventories                                        | 7                |   | 12,337,893           | 14,143,500          |
| Current income tax assets                          |                  |   | 91,957               | 140,494             |
| Assets held for sale                               | 8                |   | 477,705              | 608,758             |
| Other current assets                               | 14               |   | <u>790,883</u>       | <u>786,943</u>      |
| <b>Total current assets</b>                        |                  |   | <u>43,657,672</u>    | <u>44,029,925</u>   |
| Long-term trade accounts and notes receivable, net | 4,21             |   | 27,473               | 27,779              |
| Other receivables, net                             | 5,21,33          |   | 1,476,506            | 1,306,329           |
| Other long-term financial assets                   | 6,21             |   | 2,258,240            | 2,571,651           |
| Investments in associates and joint ventures       | 9                |   | 4,592,319            | 4,738,793           |
| Investment property, net                           | 11               |   | 1,891,881            | 1,955,896           |
| Property, plant and equipment, net                 | 12               |   | 40,258,987           | 39,846,828          |
| Intangible assets, net                             | 13               |   | 4,746,148            | 4,774,824           |
| Defined benefit assets, net                        | 19               |   | 313,750              | 409,147             |
| Deferred tax assets                                | 31               |   | 1,825,119            | 3,609,344           |
| Other non-current assets                           | 14               |   | <u>106,725</u>       | <u>133,684</u>      |
| <b>Total non-current assets</b>                    |                  |   | <u>57,497,148</u>    | <u>59,374,275</u>   |
| <b>Total assets</b>                                |                  | ₩ | <u>101,154,820</u>   | <u>103,404,200</u>  |

(continued)

**POSCO HOLDINGS INC. and its subsidiaries**  
**Interim condensed consolidated statements of financial position, continued**  
**as of June 30, 2025 (Unaudited) and December 31, 2024**

| <i>(in millions of Won)</i>                                          |              |   | <b>June 30, 2025<br/>(unaudited)</b> | <b>December 31,<br/>2024</b> |
|----------------------------------------------------------------------|--------------|---|--------------------------------------|------------------------------|
|                                                                      | <b>Notes</b> |   |                                      |                              |
| <b>Liabilities</b>                                                   |              |   |                                      |                              |
| Trade accounts and notes payable                                     | 21,33        | ₩ | 5,264,261                            | 6,159,127                    |
| Short-term borrowings and current portion<br>of long-term borrowings | 15,21        |   | 11,778,391                           | 11,115,747                   |
| Other payables                                                       | 16,21,33     |   | 3,234,574                            | 3,463,871                    |
| Other short-term financial liabilities                               | 17,21        |   | 69,862                               | 120,875                      |
| Current income tax liabilities                                       |              |   | 358,240                              | 350,570                      |
| Liabilities directly associated with the assets held for sale        | 8            |   | 32,171                               | -                            |
| Provisions                                                           | 18           |   | 281,683                              | 396,030                      |
| Other current liabilities                                            | 20,25,26     |   | 1,204,586                            | 1,173,499                    |
| <b>Total current liabilities</b>                                     |              |   | <b>22,223,768</b>                    | <b>22,779,719</b>            |
| Long-term trade accounts and notes payable                           | 21           |   | 2,049                                | 2,049                        |
| Long-term borrowings, excluding current portion                      | 15,21        |   | 15,689,725                           | 14,881,620                   |
| Other payables                                                       | 16,21        |   | 1,122,675                            | 809,012                      |
| Other long-term financial liabilities                                | 17,21        |   | 126,290                              | 72,920                       |
| Defined benefit liabilities, net                                     | 19           |   | 60,876                               | 43,143                       |
| Deferred tax liabilities                                             | 31           |   | 664,878                              | 2,685,549                    |
| Long-term provisions                                                 | 18           |   | 573,054                              | 580,559                      |
| Other non-current liabilities                                        | 20           |   | 101,604                              | 99,260                       |
| <b>Total non-current liabilities</b>                                 |              |   | <b>18,341,151</b>                    | <b>19,174,112</b>            |
| <b>Total liabilities</b>                                             |              |   | <b>40,564,919</b>                    | <b>41,953,831</b>            |
| <b>Equity</b>                                                        |              |   |                                      |                              |
| Share capital                                                        | 22           |   | 482,403                              | 482,403                      |
| Capital surplus                                                      | 22           |   | 1,605,505                            | 1,648,894                    |
| Other components of equity                                           | 23           |   | 389,225                              | 1,155,429                    |
| Treasury shares                                                      | 24           |   | (1,176,317)                          | (1,550,862)                  |
| Retained earnings                                                    |              |   | 53,365,810                           | 53,658,367                   |
| <b>Equity attributable to owners of the controlling company</b>      |              |   | <b>54,666,626</b>                    | <b>55,394,231</b>            |
| <b>Non-controlling interests</b>                                     |              |   | <b>5,923,275</b>                     | <b>6,056,137</b>             |
| <b>Total equity</b>                                                  |              |   | <b>60,589,901</b>                    | <b>61,450,368</b>            |
| <b>Total liabilities and equity</b>                                  |              | ₩ | <b>101,154,820</b>                   | <b>103,404,199</b>           |

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Interim condensed consolidated statements of comprehensive income or loss**  
**for each of the three-month and six-month periods**  
**ended June 30, 2025 and 2024 (Unaudited)**

|                                                                                                  |          | For the three-month period<br>ended June 30<br>(unaudited) |              | For the six-month period<br>ended June 30<br>(unaudited) |              |
|--------------------------------------------------------------------------------------------------|----------|------------------------------------------------------------|--------------|----------------------------------------------------------|--------------|
| (in millions of Won, except per share information)                                               | Notes    | 2025                                                       | 2024         | 2025                                                     | 2024         |
| Revenue                                                                                          | 25,26,33 | ₩ 17,555,587                                               | 18,509,681   | 34,992,363                                               | 36,561,631   |
| Cost of sales                                                                                    | 26,30    | (16,170,232)                                               | (17,014,684) | (32,271,130)                                             | (33,737,801) |
| Gross profit                                                                                     |          | 1,385,355                                                  | 1,494,997    | 2,721,233                                                | 2,823,830    |
| Selling and administrative expenses                                                              | 21,27,30 |                                                            |              |                                                          |              |
| Other administrative expenses                                                                    |          | (708,693)                                                  | (698,199)    | (1,424,276)                                              | (1,383,647)  |
| Selling expenses                                                                                 |          | (69,490)                                                   | (44,799)     | (121,344)                                                | (105,161)    |
| Operating profit                                                                                 |          | 607,172                                                    | 752,000      | 1,175,613                                                | 1,335,022    |
| Share of profit of equity-accounted investees, net                                               | 9        | 87,516                                                     | 96,361       | 152,800                                                  | 174,180      |
| Finance income and costs                                                                         | 21,28    |                                                            |              |                                                          |              |
| Finance income                                                                                   |          | 1,264,053                                                  | 1,088,022    | 2,068,732                                                | 2,522,323    |
| Finance costs                                                                                    |          | (1,591,099)                                                | (1,153,190)  | (2,539,259)                                              | (2,411,372)  |
| Other non-operating income and expenses                                                          | 21,29,30 |                                                            |              |                                                          |              |
| Other non-operating income                                                                       |          | 50,657                                                     | 69,267       | 183,521                                                  | 126,696      |
| Other non-operating expenses                                                                     |          | (190,617)                                                  | (132,935)    | (303,767)                                                | (294,813)    |
| Profit before income tax                                                                         |          | 227,682                                                    | 719,526      | 737,640                                                  | 1,452,036    |
| Income tax expense                                                                               | 31       | (143,836)                                                  | (173,305)    | (309,559)                                                | (298,001)    |
| Profit                                                                                           |          | 83,846                                                     | 546,220      | 428,081                                                  | 1,154,035    |
| Other comprehensive income (loss)                                                                |          |                                                            |              |                                                          |              |
| Items that will not be reclassified subsequently to profit or loss:                              |          |                                                            |              |                                                          |              |
| Capital adjustment arising from investments in subsidiaries under equity method                  |          | 1                                                          | (52)         | (5,625)                                                  | 983          |
| Foreign currency translation differences                                                         |          | (163,610)                                                  | 56,988       | (156,603)                                                | 115,642      |
| Remeasurements of defined benefit plans                                                          | 19       | 5,602                                                      | (3,702)      | 4,938                                                    | 1,816        |
| Net changes in fair value of equity investments at fair value through other comprehensive income | 21       | (25,164)                                                   | (84,595)     | 14,111                                                   | (76,947)     |
| Items that are or may be reclassified subsequently to profit or loss:                            |          |                                                            |              |                                                          |              |
| Capital adjustment arising from investments in subsidiaries under equity method                  |          | (218,578)                                                  | 121,543      | (217,283)                                                | 198,692      |
| Foreign currency translation differences                                                         |          | (596,783)                                                  | 311,282      | (566,825)                                                | 515,887      |
| Gains or losses on valuation of derivatives                                                      | 21       | (133)                                                      | 385          | (259)                                                    | (22)         |
| Other comprehensive income (loss), net of tax                                                    |          | (998,665)                                                  | 401,850      | (927,546)                                                | 756,052      |
| Total comprehensive income (loss)                                                                | ₩        | (914,819)                                                  | 948,070      | (499,465)                                                | 1,910,087    |
| Profit attributable to:                                                                          |          |                                                            |              |                                                          |              |
| Owners of the controlling company                                                                | ₩        | 159,865                                                    | 529,933      | 462,161                                                  | 1,070,649    |
| Non-controlling interests                                                                        |          | (76,019)                                                   | 16,287       | (34,080)                                                 | 83,387       |
| Profit                                                                                           | ₩        | 83,846                                                     | 546,220      | 428,081                                                  | 1,154,035    |
| Total comprehensive income attributable to:                                                      |          |                                                            |              |                                                          |              |
| Owners of the controlling company                                                                | ₩        | (668,060)                                                  | 870,116      | (298,224)                                                | 1,677,787    |
| Non-controlling interests                                                                        |          | (246,759)                                                  | 77,954       | (201,241)                                                | 232,300      |
| Total comprehensive income (loss)                                                                | ₩        | (914,819)                                                  | 948,070      | (499,465)                                                | 1,910,087    |
| Earnings per share (in Won)                                                                      | 32       |                                                            |              |                                                          |              |
| Basic earnings per share (in Won)                                                                |          | 2,114                                                      | 6,984        | 6,112                                                    | 14,110       |
| Diluted earnings per share (in Won)                                                              | ₩        | 2,114                                                      | 6,157        | 6,112                                                    | 11,881       |

The accompanying notes are an integral part of the interim condensed consolidated financial statements.



# POSCO HOLDINGS INC. and its subsidiaries

## Interim condensed consolidated statements of changes in equity

for each of the six-month periods ended June 30, 2025 and 2024 (Unaudited)

(in millions of Won)

|                                                                                                              |   | Attributable to owners of the controlling company |                 |                            |                 |                   |            | Non-controlling interests | Total      |
|--------------------------------------------------------------------------------------------------------------|---|---------------------------------------------------|-----------------|----------------------------|-----------------|-------------------|------------|---------------------------|------------|
|                                                                                                              |   | Share capital                                     | Capital surplus | Other components of equity | Treasury shares | Retained earnings | Subtotal   |                           |            |
| Balance as of January 1, 2024                                                                                | ₩ | 482,403                                           | 1,663,334       | 67,256                     | (1,889,658)     | 53,857,514        | 54,180,849 | 5,483,048                 | 59,663,897 |
| Comprehensive income:                                                                                        |   |                                                   |                 |                            |                 |                   |            |                           |            |
| Profit for the period                                                                                        |   | -                                                 | -               | -                          | -               | 1,070,649         | 1,070,649  | 83,387                    | 1,154,035  |
| Other comprehensive income (loss)                                                                            |   |                                                   |                 |                            |                 |                   |            |                           |            |
| Remeasurements of defined benefit plans, net of tax                                                          |   | -                                                 | -               | -                          | -               | 2,797             | 2,797      | (981)                     | 1,816      |
| Capital adjustment arising from investments in equity-accounted investees, net of tax                        |   | -                                                 | -               | 165,557                    | -               | -                 | 165,557    | 34,119                    | 199,676    |
| Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax |   | -                                                 | -               | (95,570)                   | -               | 18,660            | (76,910)   | (37)                      | (76,947)   |
| Foreign currency translation differences, net of tax                                                         |   | -                                                 | -               | 515,887                    | -               | -                 | 515,887    | 115,642                   | 631,529    |
| Gains or losses on valuation of derivatives, net of tax                                                      |   | -                                                 | -               | (193)                      | -               | -                 | (193)      | 171                       | (22)       |
| Total comprehensive income                                                                                   |   | -                                                 | -               | 585,681                    | -               | 1,092,106         | 1,677,787  | 232,301                   | 1,910,087  |
| Transactions with owners of the controlling company, recognized directly in equity:                          |   |                                                   |                 |                            |                 |                   |            |                           |            |
| Year-end dividends                                                                                           |   | -                                                 | -               | -                          | -               | (189,691)         | (189,691)  | (83,219)                  | (272,909)  |
| Interim dividends                                                                                            |   | -                                                 | -               | -                          | -               | (189,691)         | (189,691)  | -                         | (189,691)  |
| Changes in the scope of consolidation                                                                        |   | -                                                 | -               | -                          | -               | -                 | -          | 36,505                    | 36,505     |
| Changes in ownership interest in subsidiaries                                                                |   | -                                                 | (9,444)         | -                          | -               | -                 | (9,444)    | 111,704                   | 102,260    |
| Share based payments                                                                                         |   | -                                                 | (2,567)         | -                          | -               | -                 | (2,567)    | -                         | (2,567)    |
| Others                                                                                                       |   | -                                                 | 4,695           | (24,741)                   | -               | 26                | (20,020)   | (15,451)                  | (35,470)   |
| Total transactions with owners of the controlling company                                                    |   | -                                                 | (7,316)         | (24,741)                   | -               | (379,356)         | (411,413)  | 49,539                    | (361,872)  |
| Balance as of June 30, 2024 (Unaudited)                                                                      | ₩ | 482,403                                           | 1,656,017       | 628,197                    | (1,889,658)     | 54,570,265        | 55,447,224 | 5,764,888                 | 61,212,112 |

(continued)

# POSCO HOLDINGS INC. and its subsidiaries

## Interim condensed consolidated statements of changes in equity, continued for each of the six-month periods ended June 30, 2025 and 2024 (Unaudited)

(in millions of Won)

|                                                                                                              |   | Attributable to owners of the controlling company |           |             |             |            |            | Non-        |            |
|--------------------------------------------------------------------------------------------------------------|---|---------------------------------------------------|-----------|-------------|-------------|------------|------------|-------------|------------|
|                                                                                                              |   | Share                                             | Capital   | Other       | Treasury    | Retained   |            | controlling |            |
|                                                                                                              |   | capital                                           | surplus   | component   | shares      | earnings   | Subtotal   | interests   | Total      |
|                                                                                                              |   |                                                   |           | s of equity |             |            |            |             |            |
| Balance as of January 1, 2025                                                                                | ₩ | 482,403                                           | 1,648,894 | 1,155,429   | (1,550,862) | 53,658,368 | 55,394,232 | 6,056,136   | 61,450,368 |
| Comprehensive income:                                                                                        |   |                                                   |           |             |             |            |            |             |            |
| Profit for the period                                                                                        |   | -                                                 | -         | -           | -           | 462,161    | 462,161    | (34,080)    | 428,081    |
| Other comprehensive income (loss)                                                                            |   |                                                   |           |             |             |            |            |             |            |
| Remeasurements of defined benefit plans, net of tax                                                          |   | -                                                 | -         | -           | -           | 5,353      | 5,353      | (415)       | 4,938      |
| Capital adjustment arising from investments in equity-accounted investees, net of tax                        |   | -                                                 | -         | (212,037)   | -           | -          | (212,037)  | (10,871)    | (222,908)  |
| Net changes in fair value of equity investments at fair value through other comprehensive income, net of tax |   | -                                                 | -         | 12,916      | -           | 467        | 13,383     | 728         | 14,111     |
| Foreign currency translation differences, net of tax                                                         |   | -                                                 | -         | (566,824)   | -           | -          | (566,824)  | (156,603)   | (723,427)  |
| Gains or losses on valuation of derivatives, net of tax                                                      |   | -                                                 | -         | (259)       | -           | -          | (259)      | -           | (259)      |
| Total comprehensive loss                                                                                     |   | -                                                 | -         | (766,204)   | -           | 467,981    | (298,223)  | (201,241)   | (499,464)  |
| Transactions with owners of the controlling company, recognized directly in equity:                          |   |                                                   |           |             |             |            |            |             |            |
| Year-end dividends                                                                                           |   | -                                                 | -         | -           | -           | (189,052)  | (189,052)  | (102,372)   | (291,424)  |
| Interim dividends                                                                                            |   | -                                                 | -         | -           | -           | (189,052)  | (189,052)  | -           | (189,052)  |
| Changes in the scope of consolidation                                                                        |   | -                                                 | -         | -           | -           | -          | -          | 5,000       | 5,000      |
| Changes in ownership interest in subsidiaries                                                                |   | -                                                 | (34,967)  | -           | -           | -          | (34,967)   | 156,631     | 121,664    |
| Retirement of treasury shares                                                                                |   | -                                                 | -         | -           | 374,545     | (374,545)  | -          | -           | -          |
| Others                                                                                                       |   | -                                                 | (8,422)   | -           | -           | (7,890)    | (16,312)   | 9,121       | (7,191)    |
| Total transactions with owners of the controlling company                                                    |   | -                                                 | (43,389)  | -           | 374,545     | (760,539)  | (429,383)  | 68,380      | (361,003)  |
| Balance as of June 30, 2025 (Unaudited)                                                                      | ₩ | 482,403                                           | 1,605,505 | 389,225     | (1,176,317) | 53,365,810 | 54,666,626 | 5,923,275   | 60,589,901 |

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Interim condensed consolidated statements of cash flows**  
**for each of the six-month periods ended June 30, 2025 and 2024 (Unaudited)**

| <i>(in millions of Won)</i>                             | Notes | June 30, 2025<br>(Unaudited) | June 30, 2024<br>(Unaudited) |
|---------------------------------------------------------|-------|------------------------------|------------------------------|
| <b>Cash flows from operating activities</b>             |       |                              |                              |
| Profit for the period                                   | ₩     | 428,081                      | 1,154,035                    |
| Adjustments for:                                        |       |                              |                              |
| Depreciation                                            |       | 1,818,192                    | 1,688,062                    |
| Amortization                                            |       | 221,053                      | 236,561                      |
| Finance income                                          |       | (1,312,039)                  | (1,759,462)                  |
| Finance costs                                           |       | 1,536,247                    | 1,651,499                    |
| Income tax expense                                      |       | 309,559                      | 298,001                      |
| Impairment loss on property, plant and equipment        |       | 113,159                      | 63,122                       |
| Gain on disposal of property, plant and equipment       |       | (22,018)                     | (12,050)                     |
| Loss on disposal of property, plant and equipment       |       | 53,034                       | 36,340                       |
| Impairment loss on goodwill and other intangible assets |       | 25,678                       | 11                           |
| Gain on disposal of investments                         |       |                              |                              |
| in subsidiaries, associates and joint ventures          |       | (24,973)                     | (7,096)                      |
| Loss on disposal of investments                         |       |                              |                              |
| in subsidiaries, associates and joint ventures          |       | 752                          | 42,594                       |
| Share of profit of equity-accounted investees           |       | (152,800)                    | (174,180)                    |
| Impairment loss on disposal of assets held for sale     |       | 831                          | -                            |
| Gain on disposal of assets held for sale                |       | (52,148)                     | -                            |
| Loss on disposal of assets held for sale                |       | 653                          | 34,812                       |
| Expenses related to post-employment benefit             |       | 129,051                      | 122,762                      |
| Impairment loss on trade and other receivables          |       | 53,043                       | 29,811                       |
| (Reversal of) Loss on valuation of inventories          |       | (39,259)                     | 92,569                       |
| Increase to provisions                                  |       | 77,129                       | 33,725                       |
| Insurance benefit income                                |       | (1,884)                      | -                            |
| Other income                                            |       | (7,347)                      | (20,273)                     |
|                                                         |       | <u>2,725,913</u>             | <u>2,356,807</u>             |
| Changes in operating assets and liabilities             | 35    | (132,462)                    | (272,652)                    |
| Interest received                                       |       | 206,075                      | 284,604                      |
| Interest paid                                           |       | (497,113)                    | (589,332)                    |
| Dividends received                                      |       | 247,074                      | 389,275                      |
| Income taxes paid                                       |       | <u>(544,806)</u>             | <u>(247,096)</u>             |
| Net cash provided by operating activities               | ₩     | <u>2,432,762</u>             | <u>3,075,641</u>             |

(continued)

**POSCO HOLDINGS INC. and its subsidiaries**  
**Interim condensed consolidated statements of cash flows, continued**  
**for each of the six-month periods ended June 30, 2025 and 2024 (Unaudited)**

| <i>(in millions of Won)</i>                                              | <b>Notes</b> | <b>June 30, 2025<br/>(Unaudited)</b> | <b>June 30, 2024<br/>(Unaudited)</b> |
|--------------------------------------------------------------------------|--------------|--------------------------------------|--------------------------------------|
| <b>Cash flows from investing activities</b>                              |              |                                      |                                      |
| Acquisitions of short-term financial instruments                         | ₩            | (9,248,078)                          | (8,489,559)                          |
| Proceeds from disposal of short-term financial instruments               |              | 8,034,242                            | 9,700,332                            |
| Increase in loans                                                        |              | (150,960)                            | (186,203)                            |
| Collection of loans                                                      |              | 23,516                               | 217,194                              |
| Acquisitions of securities                                               |              | (620,313)                            | (1,024,195)                          |
| Proceeds from disposal of securities                                     |              | 337,297                              | 561,249                              |
| Acquisitions of long-term financial instruments                          |              | (1,896)                              | (3,923)                              |
| Acquisitions of investment<br>in associates and joint ventures           |              | (151,870)                            | (163,654)                            |
| Proceeds from disposal of<br>investment in associates and joint ventures |              | 10,172                               | 12,614                               |
| Acquisitions of investment property                                      |              | -                                    | (3,468)                              |
| Proceeds from disposal of investment property                            |              | 567                                  | 326                                  |
| Acquisitions of property, plant and equipment                            |              | (2,872,762)                          | (3,800,274)                          |
| Proceeds from disposal of property, plant and equipment                  |              | 154,464                              | 14,587                               |
| Acquisitions of intangible assets                                        |              | (298,296)                            | (166,354)                            |
| Proceeds from disposal of intangible assets                              |              | 8,472                                | 15,389                               |
| Proceeds from disposal of assets held for sale                           |              | 221,417                              | -                                    |
| Collection of lease receivables                                          |              | 13,420                               | 14,959                               |
| Cash inflow from insurance claim                                         |              | 1,816                                | -                                    |
| Disposal of net assets due to changes in consolidated entities           |              | -                                    | 12,831                               |
| Others, net                                                              |              | (26,447)                             | (3,597)                              |
| Net cash used in investing activities                                    | ₩            | (4,565,239)                          | (3,291,746)                          |
| <b>Cash flows from financing activities</b>                              |              |                                      |                                      |
| Origination of borrowings                                                |              | 3,980,458                            | 2,865,904                            |
| Repayment of borrowings                                                  |              | (2,233,025)                          | (1,803,239)                          |
| Repayment of short-term borrowings, net                                  |              | 1,024,032                            | 739,501                              |
| Capital contribution from non-controlling interests                      |              | 172,573                              | 139,416                              |
| Payment of cash dividends                                                |              | (480,768)                            | (462,624)                            |
| Repayment of lease liabilities                                           |              | (92,399)                             | (92,954)                             |
| Others, net                                                              |              | 125,512                              | 87,136                               |
| Net cash provided by financing activities                                | ₩            | 2,496,383                            | 1,473,141                            |
| <b>Effect of exchange rate fluctuation on cash held</b>                  |              | (122,515)                            | 106,504                              |
| <b>Net increase in cash and cash equivalents</b>                         |              | 241,391                              | 1,363,541                            |
| <b>Changes in cash classified as assets held for sale</b>                |              | (7,002)                              | -                                    |
| <b>Cash and cash equivalents at beginning of the period</b>              |              | 6,767,898                            | 6,670,879                            |
| <b>Cash and cash equivalents at end of the period</b>                    | ₩            | 7,002,287                            | 8,034,419                            |

The accompanying notes are an integral part of the interim condensed consolidated financial statements.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements**  
**June 30, 2025 and 2024 (Unaudited)**

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**1. General Information**

General information about POSCO HOLDINGS INC. (the “Company”), the controlling company, and its subsidiaries in the scope of consolidation, such as 58 domestic subsidiaries including POSCO INC. and 135 foreign subsidiaries including POSCO America Corporation, and 116 associates and joint ventures (collectively referred to as the “Group”) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (“KIFRS”) 1110 is as follows:

(a) The controlling company

POSCO HOLDINGS INC., the controlling company, was established on April 1, 1968, under the Commercial Act of the Republic of Korea. The shares of the Company have been listed on the Korea Exchange since June 10, 1988. The Company operates an investment business that controls and manages subsidiaries, etc. through ownership of their shares.

On March 2, 2022, the Company established a new subsidiary, POSCO, by a vertical spin-off of its steel business (which is wholly owned by the surviving company) on March 1, 2022, and changed the name of the surviving company to POSCO HOLDINGS INC.

As of June 30, 2025, the shares of POSCO HOLDINGS INC. are listed on the Korea Exchange, while its ADRs are listed on the New York Stock Exchanges.

(b) Consolidated subsidiaries acquired or newly established for the six-month period ended June 30, 2025 are as follows:

| Company                                 | Date of inclusion | Ownership (%) | Reason            |
|-----------------------------------------|-------------------|---------------|-------------------|
| POSCO Deep Tech Technology Finance Fund | June 2025         | 60.00         | New establishment |
| FUTURE GRAPH CO., LTD.                  | June 2025         | 100.00        | New establishment |

(c) Consolidated subsidiaries over which the Company has lost control for the six-month period ended June 30, 2025 are as follows:

| Company                 | Date of exclusion | Reason      |
|-------------------------|-------------------|-------------|
| SANPU TRADING Co., Ltd. | May 2025          | liquidation |
| NEH Co., Ltd.           | June 2025         | Merger      |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**2. Basis of Preparation**

**Statement of compliance**

The interim condensed consolidated financial statements have been prepared in accordance with KIFRS 1034 *Interim Financial Reporting*, as prescribed in *the Act on External Audit of Stock Companies* of the Republic of Korea. The accompanying interim condensed consolidated financial statements have been translated into English from the Korean language financial statements. In the event of any differences in interpreting the financial statements or the independent auditor's review report thereon, the Korean version, which is used for regulatory reporting purposes, shall prevail.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the

Group's annual financial statements as of December 31, 2024. Selected explanatory notes are included to explain events and transactions that are significant to an understanding of the changes in financial position and performance of the Group incurred after December 31, 2024.

These interim condensed consolidated financial statements do not include all of the disclosures required for full annual financial statements.

**Use of estimates and judgments**

**(a) Judgments, assumptions and estimation uncertainties**

The preparation of the interim condensed consolidated financial statements in conformity with KIFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period prospectively.

**(b) Measurement of fair value**

The Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. The Group has an established control framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the financial officer.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations meet the requirements of KIFRS including the level in the fair value hierarchy in which such valuation techniques should be classified.

Significant valuation issues are reported to the Group's Audit Committee.

## **2. Basis of Preparation (cont'd)**

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

- Level 1 - unadjusted quoted prices in active markets for identical assets or liabilities.
- Level 2 - inputs other than quoted prices included in Level 1 that are observable for the assets or liabilities, either directly or indirectly.
- Level 3 - inputs for the assets or liabilities that are not based on observable market data.

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement. The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

## **3. Summary of Material Accounting Policy Information**

Except for the items described below, the accounting policies applied by the Group in these interim condensed consolidated financial statements are the same as those applied to the consolidated financial statements as of and for the year ended December 31, 2024.

### **Changes in accounting policies**

#### **(a) Amendments to KIFRS 1021: *Lack of Exchangeability***

The amendments to KIFRS 1021 *The Effects of Changes in Foreign Exchange Rates* specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require the disclosure of information that enables users of its financial statements to understand how the currency that is not exchangeable into the other currency affects, or is expected to affect, the Group's financial performance, financial position, and cash flows.

The amendments will be effective for annual reporting periods beginning on or after January 1, 2025. When applying the amendment, the Group is not required to restate comparative information.

The amendments are not expected to have a material impact on the Group's interim condensed consolidated financial statements.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**4. Trade Accounts and Notes Receivable**

Trade accounts and notes receivable as of June 30, 2025 and December 31, 2024 are as follows:

*(in millions of Won)*

|                                       | <u>June 30, 2025</u> | <u>December 31, 2024</u> |
|---------------------------------------|----------------------|--------------------------|
| <b>Current</b>                        |                      |                          |
| Trade accounts and notes receivable   | ₩ 9,869,010          | 9,654,940                |
| Due from customers for contract work  | 1,577,858            | 1,488,180                |
| Less: Allowance for doubtful accounts | <u>(351,669)</u>     | <u>(321,501)</u>         |
|                                       | <u>₩ 11,095,199</u>  | <u>10,821,619</u>        |
| <br><b>Non-current</b>                |                      |                          |
| Trade accounts and notes receivable   | ₩ 72,005             | 72,387                   |
| Less: Allowance for doubtful accounts | <u>(44,532)</u>      | <u>(44,608)</u>          |
|                                       | <u>₩ 27,473</u>      | <u>27,779</u>            |

The Group discounted trade accounts receivable in accordance with trade accounts receivable factoring agreements with financial institutions for the six-month period ended June 30, 2025 and the year ended December 31, 2024. This transaction is a transaction with recourse rights because the Group is obligated to pay the amount to the bank, etc. if the trade accounts receivable are not recovered at maturity, and the transaction is accounted for as secured borrowing. As of June 30, 2025 and December 31, 2024, the book value of the trade accounts receivable from the transaction is ₩233,719 million and ₩119,076 million, respectively, and the amount is included in the short-term borrowings.



**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**5. Other Receivables**

Other receivables as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>               |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-------------------------------------------|---|----------------------|--------------------------|
| <b>Current</b>                            |   |                      |                          |
| Short-term loans                          | ₩ | 356,741              | 375,244                  |
| Other accounts receivable                 |   | 1,565,071            | 1,671,039                |
| Accrued income(*1)                        |   | 261,259              | 293,985                  |
| Deposits                                  |   | 52,557               | 80,007                   |
| Others                                    |   | 44,346               | 28,480                   |
| Lease receivables                         |   | 14,320               | 18,224                   |
| Less: Allowance for doubtful accounts(*1) |   | (201,400)            | (205,656)                |
|                                           | ₩ | <u>2,092,894</u>     | <u>2,261,323</u>         |
| <b>Non-current</b>                        |   |                      |                          |
| Long-term loans(*1)                       | ₩ | 1,266,006            | 1,247,255                |
| Other accounts receivable                 |   | 175,897              | 192,736                  |
| Accrued income                            |   | 197,235              | 189,565                  |
| Deposits                                  |   | 296,802              | 142,698                  |
| Lease receivables                         |   | 66,675               | 76,680                   |
| Less: Allowance for doubtful accounts(*1) |   | (526,109)            | (542,605)                |
|                                           | ₩ | <u>1,476,506</u>     | <u>1,306,329</u>         |

(\*1) The Group recognized an allowance for doubtful accounts for the entire other receivables from FQM Australia Holdings Pty Ltd., an associate, due to low possibility of collecting these receivables.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**6. Other Financial Assets**

Other financial assets as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>          |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|--------------------------------------|---|----------------------|--------------------------|
| <b>Current</b>                       |   |                      |                          |
| Derivatives assets                   | ₩ | 226,841              | 465,178                  |
| Debt securities                      |   | 710,258              | 400,771                  |
| Deposit instruments(*1)              |   | 7,995,465            | 6,420,797                |
| Short-term financial instruments(*1) |   | 836,290              | 1,212,643                |
|                                      | ₩ | <u>9,768,854</u>     | <u>8,499,389</u>         |
| <b>Non-current</b>                   |   |                      |                          |
| Derivatives assets                   | ₩ | 85,216               | 497,698                  |
| Equity securities(*2)                |   | 1,291,097            | 1,171,544                |
| Debt securities                      |   | 114,197              | 115,601                  |
| Other securities(*2)                 |   | 739,626              | 762,177                  |
| Deposit instruments(*1)              |   | 28,104               | 24,631                   |
|                                      | ₩ | <u>2,258,240</u>     | <u>2,571,651</u>         |

(\*1) As of June 30, 2025 and December 31, 2024, financial instruments amounting to ₩107,100 million and ₩98,116 million, respectively, are restricted in use for financial arrangements, pledge and others.

(\*2) As of June 30, 2025 and December 31, 2024, ₩185,105 million and ₩182,862 million of equity and other securities, respectively, have been provided as collateral for borrowings, construction projects and others.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**7. Inventories**

(a) Inventories as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>                   |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-----------------------------------------------|---|----------------------|--------------------------|
| Finished goods                                | ₩ | 2,344,864            | 2,741,236                |
| Merchandise                                   |   | 1,008,527            | 1,166,464                |
| Semi-finished goods                           |   | 2,413,192            | 2,659,707                |
| Raw materials                                 |   | 3,349,950            | 3,764,453                |
| Fuel and materials                            |   | 1,056,558            | 1,038,854                |
| Construction inventories                      |   | 177,847              | 200,825                  |
| Materials-in-transit                          |   | 2,273,054            | 2,889,334                |
| Others                                        |   | 98,583               | 118,391                  |
|                                               |   | <u>12,722,575</u>    | <u>14,579,264</u>        |
| Less: Allowance for inventories valuation(*1) |   | <u>(384,682)</u>     | <u>(435,764)</u>         |
|                                               | ₩ | <u>12,337,893</u>    | <u>14,143,500</u>        |

(\*1) For each of the six-month periods ended June 30, 2025 and 2024, allowance for inventories valuation decreased by ₩39,259 million and ₩84,809 million, respectively.

(b) The allowances for inventories valuation by item as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i> |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-----------------------------|---|----------------------|--------------------------|
| Finished goods              | ₩ | 162,283              | 187,902                  |
| Merchandise                 |   | 11,524               | 14,288                   |
| Semi-finished goods         |   | 86,522               | 103,751                  |
| Raw materials               |   | 108,427              | 113,413                  |
| Fuel and materials          |   | 5,616                | 6,060                    |
| Construction inventories    |   | 5,965                | 6,420                    |
| Others                      |   | 4,345                | 3,930                    |
|                             | ₩ | <u>384,682</u>       | <u>435,764</u>           |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**8. Assets Held for Sale**

Details of assets held for sale as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>   |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-------------------------------|---|----------------------|--------------------------|
| <b>Asset</b>                  |   |                      |                          |
| Cash and cash equivalents     | ₩ | 7,002                | -                        |
| Account receivables           |   | 20,270               | -                        |
| Inventories                   |   | 12,393               | -                        |
| Equity securities(*1)         |   | 402,860              | 604,439                  |
| Property, plant and equipment |   | 33,550               | 4,319                    |
| Intangible assets             |   | 470                  | -                        |
| Others                        |   | 1,160                | -                        |
|                               | ₩ | <u>477,705</u>       | <u>608,758</u>           |
| <b>Liability</b>              |   |                      |                          |
| Other receivables             | ₩ | (32,171)             | -                        |

(\*1) Including equity securities of Nippon Steel Corporation amounting to ₩402,860 million, which have been classified as assets held for sale for the year ended December 31, 2024.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures**

(a) Details of investments in associates as of June 30, 2025 and December 31, 2024 are as follows:

| (in millions of Won)                        | June 30, 2025    |               |                  |            | December 31, 2024 |  |
|---------------------------------------------|------------------|---------------|------------------|------------|-------------------|--|
| Company                                     | Number of shares | Ownership (%) | Acquisition cost | Book value | Book value        |  |
| [Domestic]                                  |                  |               |                  |            |                   |  |
| Samcheok Blue Power Co.,Ltd.(*1)            | 4,507,138        | 34.00         | ₩ 473,093        | ₩ 417,653  | 392,269           |  |
| Chun-cheon Energy Co., Ltd.(*1)             | 17,308,143       | 49.10         | 86,541           | 14,044     | 14,054            |  |
| Pocheon-Hwado Highway Corp.(*1)             | 7,109,230        | 27.89         | 35,546           | 17,661     | 14,834            |  |
| CHUNGJU ENTERPRISE CITY DEVELOPMENT Co.,Ltd | 944,920          | 29.53         | 4,725            | 12,346     | 12,401            |  |
| PCC Amberstone Private Equity Fund 1(*2)    | 4,880,421,842    | 8.80          | 4,880            | 5,071      | 6,181             |  |
| Others(*1)                                  |                  |               |                  | 121,144    | 122,688           |  |
|                                             |                  |               |                  | 587,919    | 562,427           |  |
| [Foreign]                                   |                  |               |                  |            |                   |  |
| South-East Asia Gas Pipeline Company Ltd.   | 135,219,000      | 25.04         | 107,269          | 271,387    | 279,349           |  |
| 9404-5515 Quebec Inc.                       | 284,463,243      | 25.85         | 328,509          | 374,619    | 426,276           |  |
| AMCI (WA) PTY LTD                           | 49               | 49.00         | 209,664          | 87,775     | 68,478            |  |
| KOREA LNG LTD.                              | 2,400            | 20.00         | 135,205          | 18,455     | 25,622            |  |
| PT. Wampu Electric Power(*1)                | 8,708,400        | 20.00         | 10,054           | 15,814     | 17,680            |  |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.      | 50               | 25.00         | 4,723            | 10,266     | 10,713            |  |
| M RES NSW HCC II Pty Ltd(*3)                | 48,000,000       | 80.00         | 68,861           | 64,920     | -                 |  |
| Others(*1)                                  |                  |               |                  | 206,502    | 241,841           |  |
|                                             |                  |               |                  | 1,049,738  | 1,069,959         |  |
|                                             |                  |               | ₩                | 1,637,657  | 1,632,386         |  |

- (\*1) As of June 30, 2025 and December 31, 2024, investments in associates amounting to ₩479,546 million and ₩452,614 million, respectively, are provided as collateral in relation to the associates' borrowings.
- (\*2) As of June 30, 2025, the entity is classified as an associate since the Group has significant influence over the investee although the Group's percentage of ownership is less than 20%, considering the structure of the entity's Board of Directors and others.
- (\*3) As of June 30, 2025, the entity is classified as an associate since the Group has significant influence over the investee although the Group's percentage of ownership exceeds a majority, considering the structure of the entity's Board of Directors and others.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures (cont'd)**

(b) Details of investments in joint ventures as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>                |                  | June 30, 2025 |                  |                  | December 31, 2024 |
|--------------------------------------------|------------------|---------------|------------------|------------------|-------------------|
| Company                                    | Number of shares | Ownership (%) | Acquisition cost | Book value       | Book value        |
| <b>[Domestic]</b>                          |                  |               |                  |                  |                   |
| POSCO MC MATERIALS                         | 11,568,000       | 60.00         | ₩ 115,680        | ₩ 146,200        | 153,839           |
| SNNC                                       | 18,130,000       | 49.00         | 90,650           | 38,156           | 38,046            |
| Others                                     |                  |               |                  | 17,531           | 10,042            |
|                                            |                  |               |                  | <u>201,887</u>   | <u>201,927</u>    |
| <b>[Foreign]</b>                           |                  |               |                  |                  |                   |
| Roy Hill Holdings Pty Ltd(*1)              | 13,117,972       | 12.50         | 1,528,672        | 1,311,455        | 1,397,824         |
| POSCO-NPS Niobium LLC                      | 325,050,000      | 50.00         | 364,609          | 440,974          | 477,898           |
| KOBRASCO                                   | 2,010,719,185    | 50.00         | 32,950           | 117,226          | 119,820           |
| BX STEEL POSCO Cold Rolled Sheet Co., Ltd. | -                | 25.00         | 61,961           | 113,922          | 126,906           |
| PT NICOLE METAL INDUSTRY                   | 152,764,706      | 49.00         | 603,178          | 602,191          | 578,604           |
| HBIS-POSCO Automotive Steel Co., Ltd       | -                | 50.00         | 235,251          | 147,071          | 179,841           |
| Others                                     |                  |               |                  | 19,936           | 23,587            |
|                                            |                  |               |                  | <u>2,752,775</u> | <u>2,904,480</u>  |
|                                            |                  |               | ₩                | <u>2,954,662</u> | <u>3,106,407</u>  |

(\*1) As of June 30, 2025 and December 31, 2024, the investments in joint ventures are provided as collateral in relation to the joint ventures' borrowings.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures (cont'd)**

(c) Changes in investments in associates and joint ventures for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the six-month period ended June 30, 2025

(in millions of Won)

| Company                                      |   | January 1,<br>2025<br>Book value | Acquisition    | Dividends        | Share of<br>profits (losses) | Other increase<br>(decrease)(*1) | June 30,<br>2025<br>Book value |
|----------------------------------------------|---|----------------------------------|----------------|------------------|------------------------------|----------------------------------|--------------------------------|
| <b>[Domestic]</b>                            |   |                                  |                |                  |                              |                                  |                                |
| Samcheok Blue Power Co., Ltd.                | ₩ | 392,269                          | 17,509         | (2,795)          | 10,662                       | 8                                | 417,653                        |
| SNNC                                         |   | 38,046                           | -              | -                | 110                          | -                                | 38,156                         |
| Chun-cheon Energy Co., Ltd                   |   | 14,054                           | -              | -                | (80)                         | 70                               | 14,044                         |
| Pocheon-Hwado Highway Corp.                  |   | 14,834                           | -              | -                | 2,646                        | 181                              | 17,661                         |
| CHUNGJU ENTERPRISE CITY DEVELOPMENT Co., Ltd |   | 12,401                           | -              | -                | (56)                         | 1                                | 12,346                         |
| PCC Amberstone Private Equity Fund 1         |   | 6,181                            | -              | -                | (219)                        | (891)                            | 5,071                          |
| POSCO MC MATERIALS                           |   | 153,839                          | -              | (3,000)          | (4,640)                      | 1                                | 146,200                        |
| Others                                       |   | 132,730                          | 2,927          | (872)            | 2,851                        | 1,039                            | 138,675                        |
|                                              |   | <u>764,354</u>                   | <u>20,436</u>  | <u>(6,667)</u>   | <u>11,274</u>                | <u>409</u>                       | <u>789,806</u>                 |
| <b>[Foreign]</b>                             |   |                                  |                |                  |                              |                                  |                                |
| South-East Asia Gas Pipeline Company Ltd.    |   | 279,349                          | -              | (11,941)         | 30,781                       | (26,802)                         | 271,387                        |
| 9404-5515 Quebec Inc.                        |   | 426,276                          | -              | (21,180)         | 8,145                        | (38,622)                         | 374,619                        |
| AMCI (WA) PTY LTD                            |   | 68,478                           | -              | -                | 27,546                       | (8,249)                          | 87,775                         |
| KOREA LNG LTD.                               |   | 25,622                           | -              | (3,726)          | 3,885                        | (7,326)                          | 18,455                         |
| PT. Wampu Electric Power                     |   | 17,680                           | -              | (875)            | 357                          | (1,348)                          | 15,814                         |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.       |   | 10,713                           | -              | -                | 471                          | (918)                            | 10,266                         |
| Roy Hill Holdings Pty Ltd                    |   | 1,397,824                        | -              | (118,313)        | 76,305                       | (44,361)                         | 1,311,455                      |
| POSCO-NPS Niobium LLC                        |   | 477,898                          | -              | (9,896)          | 9,785                        | (36,813)                         | 440,974                        |
| KOBRASCO                                     |   | 119,820                          | -              | (18,197)         | 10,165                       | 5,438                            | 117,226                        |
| BX STEEL POSCO Cold Rolled Sheet Co., Ltd.   |   | 126,906                          | -              | (11,440)         | 5,718                        | (7,262)                          | 113,922                        |
| PT NICOLE METAL INDUSTRY                     |   | 578,604                          | 62,573         | -                | 1,300                        | (40,286)                         | 602,191                        |
| HBIS-POSCO Automotive Steel Co., Ltd         |   | 179,841                          | -              | -                | (23,314)                     | (9,456)                          | 147,071                        |
| M RES NSW HCC II Pty Ltd                     |   | -                                | 68,861         | -                | -                            | (3,941)                          | 64,920                         |
| Others                                       |   | 265,428                          | -              | (7,038)          | (9,618)                      | (22,334)                         | 226,438                        |
|                                              |   | <u>3,974,439</u>                 | <u>131,434</u> | <u>(202,606)</u> | <u>141,526</u>               | <u>(242,280)</u>                 | <u>3,802,513</u>               |
|                                              | ₩ | <u>4,738,793</u>                 | <u>151,870</u> | <u>(209,273)</u> | <u>152,800</u>               | <u>(241,871)</u>                 | <u>4,592,319</u>               |

(\*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the six-month period ended June 30, 2025.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures (cont'd)**

**2) For the year ended December 31, 2024**

(in millions of Won)

| Company                                          |   | January 1,<br>2024<br>Book value | Acquisition    | Dividends        | Share of<br>profits (losses) | Other increase<br>(decrease)(*1) | December 31,<br>2024<br>Book value |
|--------------------------------------------------|---|----------------------------------|----------------|------------------|------------------------------|----------------------------------|------------------------------------|
| <b>[Domestic]</b>                                |   |                                  |                |                  |                              |                                  |                                    |
| Samcheok Blue Power Co., Ltd.                    | ₩ | 323,521                          | 25,680         | (10,993)         | 54,140                       | (79)                             | 392,269                            |
| SNNC                                             |   | 100,692                          | -              | -                | (61,898)                     | (748)                            | 38,046                             |
| Chun-cheon Energy Co., Ltd.                      |   | 15,040                           | -              | -                | 1,807                        | (2,793)                          | 14,054                             |
| Pocheon-Hwado Highway Corp.                      |   | 23,998                           | -              | -                | (9,164)                      | -                                | 14,834                             |
| CHUNGJU ENTERPRISE CITY<br>DEVELOPMENT Co., Ltd. |   | 13,967                           | -              | -                | (384)                        | (1,182)                          | 12,401                             |
| PCC Amberstone Private Equity Fund 1             |   | 8,904                            | 175            | (490)            | (484)                        | (1,924)                          | 6,181                              |
| POSCO MC MATERIALS                               |   | 155,748                          | -              | (1,800)          | 403                          | (512)                            | 153,839                            |
| Others                                           |   | 150,985                          | 12,362         | (4,999)          | (6,802)                      | (18,816)                         | 132,730                            |
|                                                  |   | <u>792,855</u>                   | <u>38,217</u>  | <u>(18,282)</u>  | <u>(22,382)</u>              | <u>(26,054)</u>                  | <u>764,354</u>                     |
| <b>[Foreign]</b>                                 |   |                                  |                |                  |                              |                                  |                                    |
| South-East Asia Gas Pipeline Company Ltd.        |   | 287,282                          | -              | (64,208)         | 45,923                       | 10,352                           | 279,349                            |
| AES Mong Duong Power Company Limited(*2)         |   | 230,699                          | -              | (34,821)         | (82,075)                     | (113,803)                        | -                                  |
| 9404-5515 Quebec Inc.                            |   | 346,724                          | -              | (17,764)         | 35,241                       | 62,075                           | 426,276                            |
| AMCI (WA) PTY LTD                                |   | 60,225                           | -              | -                | (5,127)                      | 13,380                           | 68,478                             |
| NCR LLC                                          |   | 253,121                          | 4,275          | -                | (266,425)                    | 9,029                            | -                                  |
| KOREA LNG LTD.                                   |   | 58,759                           | -              | (17,829)         | 17,714                       | (33,022)                         | 25,622                             |
| Nickel Mining Company SAS                        |   | 87,967                           | -              | -                | (94,353)                     | 6,386                            | -                                  |
| ZHEJIANG HUAYOU-POSCO ESM CO., LTD               |   | 105,300                          | -              | -                | (117,143)                    | 11,843                           | -                                  |
| PT. Wampu Electric Power                         |   | 15,632                           | -              | (1,764)          | 1,238                        | 2,574                            | 17,680                             |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.           |   | 8,642                            | -              | -                | 573                          | 1,498                            | 10,713                             |
| Roy Hill Holdings Pty Ltd                        |   | 1,400,009                        | -              | (284,541)        | 203,130                      | 79,226                           | 1,397,824                          |
| POSCO-NPS Niobium LLC                            |   | 419,192                          | -              | (29,225)         | 29,336                       | 58,595                           | 477,898                            |
| KOBRASCO                                         |   | 99,768                           | -              | (5,761)          | 37,914                       | (12,101)                         | 119,820                            |
| BX STEEL POSCO Cold Rolled Sheet Co., Ltd.       |   | 111,001                          | -              | (10,772)         | 14,207                       | 12,470                           | 126,906                            |
| DMSA/AMSA                                        |   | 16,572                           | -              | -                | (17,299)                     | 727                              | -                                  |
| PT NICOLE METAL INDUSTRY                         |   | 284,351                          | 247,824        | -                | (315)                        | 46,744                           | 578,604                            |
| HBIS-POSCO Automotive Steel Co., Ltd             |   | 208,765                          | -              | -                | (49,480)                     | 20,556                           | 179,841                            |
| Others                                           |   | 233,400                          | 7,860          | (26,222)         | 12,865                       | 37,525                           | 265,428                            |
|                                                  |   | <u>4,227,409</u>                 | <u>259,959</u> | <u>(492,907)</u> | <u>(234,076)</u>             | <u>214,054</u>                   | <u>3,974,439</u>                   |
| ₩                                                |   | <u>5,020,264</u>                 | <u>298,176</u> | <u>(511,189)</u> | <u>(256,458)</u>             | <u>188,000</u>                   | <u>4,738,793</u>                   |

(\*1) Other increase (decrease) represents the changes in investments in associates and joint ventures due to disposals and change in capital adjustments effect from translations of financial statements of foreign investees and others for the year ended December 31, 2024.

(\*2) For the year ended December 31, 2024, the Group determined to sell AES Mong Duong Power Company Limited and classified it as assets held for sale.



**POSCO HOLDINGS INC. and its subsidiaries**  
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**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures (cont'd)**

(d) The summarized financial information on associates and joint ventures as of and for the six-month period ended June 30, 2025 and the year ended December 31, 2024 is as follows:

1) As of and for the six-month period ended June 30, 2025

(in millions of Won)

| Company                                        | Assets      | Liabilities | Equity<br>(deficit) | Sales     | Net income<br>(loss) |
|------------------------------------------------|-------------|-------------|---------------------|-----------|----------------------|
| <b>[Domestic]</b>                              |             |             |                     |           |                      |
| Samcheok Blue Power Co.,Ltd.                   | ₩ 5,117,386 | 4,280,847   | 836,539             | 251,735   | 34,108               |
| SNNC                                           | 627,131     | 527,180     | 99,951              | 401,816   | 4,432                |
| Chun-cheon Energy Co., Ltd                     | 537,491     | 417,523     | 119,968             | 190,759   | (3,225)              |
| Pocheon-Hwado Highway Corp.                    | 692,553     | 591,518     | 101,035             | 12,089    | 8,938                |
| CHUNGJU ENTERPRISE CITY<br>DEVELOPMENT Co.,Ltd | 14,388      | 2,881       | 11,507              | 1,050     | (188)                |
| PCC Amberstone Private Equity Fund 1           | 57,955      | 302         | 57,653              | 2,654     | (2,489)              |
| POSCO MC MATERIALS                             | 356,852     | 111,468     | 245,384             | 99,421    | (7,552)              |
| <b>[Foreign]</b>                               |             |             |                     |           |                      |
| South-East Asia Gas Pipeline Company Ltd.      | 1,503,655   | 419,846     | 1,083,809           | 234,361   | 122,926              |
| 9404-5515 Quebec Inc.                          | 1,529,597   | 2,746       | 1,526,851           | -         | 31,510               |
| FQM Australia Holdings Pty Ltd                 | 55,528      | 1,427,852   | (1,372,324)         | -         | (26,219)             |
| KOREA LNG LTD.                                 | 92,570      | 292         | 92,278              | 20,554    | 19,425               |
| Nickel Mining Company SAS                      | 515,844     | 306,357     | 209,487             | 97,596    | (30,192)             |
| ZHEJIANG HUAYOU-POSCO ESM CO., LTD             | 276,972     | 29,460      | 247,512             | 53,186    | (21,908)             |
| PT. Wampu Electric Power                       | 188,208     | 110,694     | 77,514              | 10,081    | 1,783                |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.         | 97,232      | 57,990      | 39,242              | 73,232    | 1,765                |
| Roy Hill Holdings Pty Ltd                      | 10,260,308  | 2,496,395   | 7,763,913           | 3,541,496 | 823,745              |
| POSCO-NPS Niobium LLC                          | 881,744     | -           | 881,744             | -         | 19,118               |
| KOBRASCO                                       | 281,474     | 47,628      | 233,846             | 29,628    | 20,330               |
| BX STEEL POSCO Cold Rolled Sheet Co., Ltd.     | 918,023     | 489,464     | 428,559             | 693,528   | 22,871               |
| DMSA/AMSA                                      | 827,057     | 541,803     | 285,254             | 337,798   | (1,646,458)          |
| HBIS-POSCO Automotive Steel Co., Ltd           | 941,706     | 630,586     | 311,120             | 240,957   | (47,119)             |
| PT NICOLE METAL INDUSTRY                       | 1,087,134   | 271,345     | 815,789             | 191,778   | 2,703                |
| M RES NSW HCC II Pty Ltd                       | 81,384      | -           | 81,384              | -         | -                    |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**9. Investments in Associates and Joint ventures (cont'd)**

**2) As of and for the year ended December 31, 2024**

(in millions of Won)

| Company                                         | Assets      | Liabilities | Equity<br>(deficit) | Sales     | Net income<br>(loss) |
|-------------------------------------------------|-------------|-------------|---------------------|-----------|----------------------|
| <b>[Domestic]</b>                               |             |             |                     |           |                      |
| Samcheok Blue Power Co., Ltd.                   | ₩ 4,770,385 | 4,013,505   | 756,880             | 596,497   | 177,922              |
| SNNC                                            | 656,049     | 560,530     | 95,519              | 690,103   | (127,233)            |
| Chun-cheon Energy Co., Ltd                      | 540,333     | 417,139     | 123,194             | 430,679   | 5,089                |
| Pocheon-Hwado Highway Corp.                     | 690,646     | 599,199     | 91,447              | 21,920    | (29,582)             |
| CHUNGJU ENTERPRISE CITY<br>DEVELOPMENT Co., Ltd | 14,663      | 2,968       | 11,695              | -         | (1,302)              |
| PCC Amberstone Private Equity Fund 1            | 72,722      | 2,455       | 70,267              | 7         | (5,508)              |
| POSCO MC MATERIALS                              | 385,270     | 127,335     | 257,935             | 226,376   | 1,217                |
| <b>[Foreign]</b>                                |             |             |                     |           |                      |
| South-East Asia Gas Pipeline Company Ltd.       | 1,634,345   | 518,743     | 1,115,602           | 409,790   | 183,392              |
| AES Mong Duong Power Company Limited            | 1,758,256   | 922,268     | 835,988             | 460,672   | 118,071              |
| 9404-5515 Quebec Inc.                           | 1,704,653   | -           | 1,704,653           | -         | 136,320              |
| FQM Australia Holdings Pty Ltd                  | 61,735      | 1,521,991   | (1,460,256)         | 102,869   | (396,146)            |
| KOREA LNG LTD.                                  | 128,215     | 102         | 128,113             | 90,578    | 88,572               |
| Nickel Mining Company SAS                       | 519,560     | 282,321     | 237,239             | 237,102   | (27,170)             |
| ZHEJIANG HUAYOU-POSCO ESM CO., LTD              | 325,284     | 39,058      | 286,226             | 82,254    | (7,139)              |
| PT. Wampu Electric Power                        | 209,725     | 124,359     | 85,366              | 19,133    | 6,191                |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.          | 98,919      | 58,972      | 39,947              | 139,499   | 2,145                |
| Roy Hill Holdings Pty Ltd                       | 10,460,434  | 2,356,265   | 8,104,169           | 7,179,077 | 2,038,555            |
| POSCO-NPS Niobium LLC                           | 955,592     | -           | 955,592             | -         | 57,722               |
| KOBRASCO                                        | 282,087     | 43,052      | 239,035             | 118,408   | 74,690               |
| BX STEEL POSCO Cold Rolled Sheet Co., Ltd.      | 1,180,532   | 699,775     | 480,757             | 1,595,656 | 56,830               |
| DMSA/AMSA                                       | 3,364,786   | 3,468,220   | (103,434)           | 694,120   | (571,215)            |
| HBIS-POSCO Automotive Steel Co., Ltd            | 1,024,831   | 645,671     | 379,160             | 518,808   | (90,757)             |
| PT NICOLE METAL INDUSTRY                        | 818,168     | 25,039      | 793,129             | -         | (644)                |

**10. Joint Operations**

Details of significant joint operations that the Group is participating in as a party to a joint arrangement as of June 30, 2025 are as follows:

| Joint operations     | Operation                           | Ownership (%) | Location  |
|----------------------|-------------------------------------|---------------|-----------|
| Myanmar A-1/A-3 mine | Mine development and gas production | 51.00         | Myanmar   |
| Offshore midstream   | Gas transportation facility         | 51.00         | Myanmar   |
| Mt. Thorley J/V      | Mine development                    | 20.00         | Australia |
| POSMAC J/V           | Mine development                    | 20.00         | Australia |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**11. Investment Property**

Changes in the carrying amounts of investment properties for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

(a) For the six-month period ended June 30, 2025

| <i>(in millions of Won)</i> |   | <b>Beginning</b> | <b>Disposals</b> | <b>Depreciation</b> | <b>Others(*1)</b> | <b>Ending</b>    |
|-----------------------------|---|------------------|------------------|---------------------|-------------------|------------------|
| Land                        | ₩ | 866,450          | (510)            | -                   | (14,393)          | 851,547          |
| Buildings                   |   | 942,851          | (189)            | (6,972)             | (30,521)          | 905,169          |
| Structures                  |   | 1,755            | -                | (454)               | 115               | 1,416            |
| Right of use assets         |   | 144,840          | (57)             | (2,661)             | (8,373)           | 133,749          |
|                             | ₩ | <u>1,955,896</u> | <u>(756)</u>     | <u>(10,087)</u>     | <u>(53,172)</u>   | <u>1,891,881</u> |

(\*1) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

| <i>(in millions of Won)</i> |   | <b>Beginning</b> | <b>Acquisitions</b> | <b>Business<br/>Combination(*1)</b> | <b>Disposals</b> | <b>Depreciation</b> | <b>Impairment<br/>loss</b> | <b>Others(*2)</b> | <b>Ending</b>    |
|-----------------------------|---|------------------|---------------------|-------------------------------------|------------------|---------------------|----------------------------|-------------------|------------------|
| Land                        | ₩ | 787,304          | 3,755               | 59,766                              | (47,137)         | -                   | (215)                      | 62,977            | 866,450          |
| Buildings                   |   | 655,786          | 1,782               | 355,155                             | (34,419)         | (34,179)            | (9,776)                    | 8,502             | 942,851          |
| Structures                  |   | 1,873            | -                   | -                                   | -                | (911)               | -                          | 793               | 1,755            |
| Right of use assets         |   | 171,331          | -                   | -                                   | (107)            | (6,547)             | -                          | (19,837)          | 144,840          |
|                             | ₩ | <u>1,616,294</u> | <u>5,537</u>        | <u>414,921</u>                      | <u>(81,663)</u>  | <u>(41,637)</u>     | <u>(9,991)</u>             | <u>52,435</u>     | <u>1,955,896</u> |

(\*1) For the year ended December 31, 2024, RNR Logistics and others were included as subsidiaries, and the Group has included the effect of the increase in investment properties in the business combination.

(\*2) Including reclassification resulting from changing purpose of use, adjustment of foreign currency translation difference and others.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**12. Property, Plant and Equipment**

(a) Changes in the carrying amounts of property, plant and equipment for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the six-month period ended June 30, 2025

(in millions of Won)

|                          | Beginning    | Acquisitions | Disposals | Depreciation | Impairment loss | Others(*1)  | Ending     |
|--------------------------|--------------|--------------|-----------|--------------|-----------------|-------------|------------|
| Land                     | ₩ 3,335,875  | 674          | (26)      | -            | (1,476)         | 13,592      | 3,348,639  |
| Buildings                | 5,280,968    | 2,390        | (10,873)  | (194,966)    | -               | 418,372     | 5,495,891  |
| Structures               | 3,860,523    | 6,085        | (100,291) | (162,439)    | (2,530)         | 331,231     | 3,932,579  |
| Machinery and equipment  | 18,311,678   | 42,093       | (17,505)  | (1,266,157)  | (69,461)        | 1,152,895   | 18,153,543 |
| Vehicles                 | 89,975       | 4,736        | (1,121)   | (19,957)     | -               | 4,671       | 78,304     |
| Tools                    | 134,501      | 6,624        | (718)     | (26,941)     | (4)             | (37)        | 113,425    |
| Furniture and fixtures   | 200,033      | 8,836        | (387)     | (39,449)     | -               | 51,290      | 220,323    |
| Lease assets             | 970,634      | 477,849      | (19,797)  | (93,348)     | -               | (28,297)    | 1,307,041  |
| Bearer plants            | 139,451      | -            | (65)      | (4,847)      | -               | (11,147)    | 123,392    |
| Construction-in-progress | 7,523,190    | 2,774,742    | (9)       | -            | (39,688)        | (2,772,385) | 7,485,850  |
|                          | ₩ 39,846,828 | 3,324,029    | (150,792) | (1,808,104)  | (113,159)       | (839,815)   | 40,258,987 |

(\*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

(in millions of Won)

|                          | Beginning    | Acquisitions | Disposals | Depreciation | Impairment loss(*2,3) | Others(*1)  | Ending     |
|--------------------------|--------------|--------------|-----------|--------------|-----------------------|-------------|------------|
| Land                     | ₩ 3,290,244  | 20,523       | (6,061)   | -            | (6,620)               | 37,789      | 3,335,875  |
| Buildings                | 4,427,632    | 14,002       | (11,137)  | (346,334)    | (67,797)              | 1,264,602   | 5,280,968  |
| Structures               | 3,081,524    | 11,663       | (4,497)   | (306,017)    | (15,326)              | 1,093,178   | 3,860,523  |
| Machinery and equipment  | 16,539,192   | 179,457      | (47,511)  | (2,484,915)  | (385,367)             | 4,510,822   | 18,311,678 |
| Vehicles                 | 79,595       | 17,353       | (1,487)   | (39,263)     | (56)                  | 33,833      | 89,975     |
| Tools                    | 128,865      | 28,731       | (673)     | (54,966)     | (1,573)               | 34,117      | 134,501    |
| Furniture and fixtures   | 189,887      | 27,966       | (2,380)   | (70,561)     | (3,260)               | 58,381      | 200,033    |
| Lease assets             | 998,305      | 132,219      | (18,706)  | (177,475)    | (1,994)               | 38,285      | 970,634    |
| Bearer plants            | 137,331      | -            | (27)      | (9,602)      | -                     | 11,749      | 139,451    |
| Construction-in-progress | 6,333,673    | 7,634,826    | (3,482)   | -            | (128,119)             | (6,313,708) | 7,523,190  |
|                          | ₩ 35,206,248 | 8,066,740    | (95,961)  | (3,489,133)  | (610,114)             | 769,048     | 39,846,828 |

(\*1) Presenting assets transferred from construction-in-progress to intangible assets and other property, plant and equipment, reclassifications resulting from change in purpose of use, adjustments of foreign currency translation differences and others.

(\*2) The Group calculated the net fair value of individual assets, such as steelmaking plant no. 1 and blast furnace no. 4 in Pohang, whose operation was suspended due to operation plan changes, to estimate recoverable amount and recognized an impairment loss of ₩227,239 million for property, plant and equipment for the year ended December 31, 2024.

(\*3) The Group identified a certain portion of the anode/cathode material assets that were in long-term idle status or expected to fall short of the anticipated economic performance for the year ended December 31, 2024. The Group calculated the net fair value of such individual assets to estimate the recoverable amount and recognized an impairment loss of ₩307,911 million for assets whose recoverable amounts are less than their carrying amounts.

**POSCO HOLDINGS INC. and its subsidiaries**  
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**June 30, 2025 and 2024 (Unaudited)**

**12. Property, Plant and Equipment (cont'd)**

(b) Changes in the carrying amounts of right-of-use assets presented as investment properties and property, plant and equipment for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the six-month period ended June 30, 2025

| (in millions of Won)     |   | Beginning | Acquisitions | Depreciation | Impairment loss | Others   | Ending    |
|--------------------------|---|-----------|--------------|--------------|-----------------|----------|-----------|
| Land                     | ₩ | 348,918   | 5,701        | (7,188)      | -               | (29,405) | 318,026   |
| Buildings and structures |   | 154,747   | 60,376       | (29,718)     | -               | (14,056) | 171,349   |
| Machinery and equipment  |   | 346,642   | 138,910      | (26,128)     | -               | (2,081)  | 457,343   |
| Vehicles                 |   | 45,071    | 6,675        | (10,064)     | -               | (732)    | 40,950    |
| Ships                    |   | 196,070   | 264,508      | (14,303)     | -               | -        | 446,275   |
| Others                   |   | 24,026    | 1,679        | (8,608)      | -               | (10,250) | 6,847     |
|                          | ₩ | 1,115,474 | 477,849      | (96,009)     | -               | (56,524) | 1,440,790 |

2) For the year ended December 31, 2024

| (in millions of Won)     |   | Beginning | Acquisitions | Depreciation | Impairment loss | Others  | Ending    |
|--------------------------|---|-----------|--------------|--------------|-----------------|---------|-----------|
| Land                     | ₩ | 363,789   | 1,542        | (17,501)     | (1,994)         | 3,082   | 348,918   |
| Buildings and structures |   | 151,366   | 58,116       | (54,092)     | -               | (643)   | 154,747   |
| Machinery and equipment  |   | 355,604   | 37,204       | (47,797)     | -               | 1,631   | 346,642   |
| Vehicles                 |   | 48,228    | 12,501       | (20,291)     | -               | 4,633   | 45,071    |
| Ships                    |   | 220,754   | -            | (24,684)     | -               | -       | 196,070   |
| Others                   |   | 29,895    | 22,856       | (19,657)     | -               | (9,068) | 24,026    |
|                          | ₩ | 1,169,636 | 132,219      | (184,022)    | (1,994)         | (365)   | 1,115,474 |

(c) The amounts recognized in profit or loss related to leases for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| (in millions of Won)                           |   | For the three-month periods<br>ended June 30 |        | For the six-month periods<br>ended June 30 |        |
|------------------------------------------------|---|----------------------------------------------|--------|--------------------------------------------|--------|
|                                                |   | 2025                                         | 2024   | 2025                                       | 2024   |
| Interest on lease liabilities                  | ₩ | 13,364                                       | 11,966 | 24,786                                     | 24,312 |
| Expenses related to short-term leases          |   | 8,958                                        | 9,509  | 20,584                                     | 28,444 |
| Expenses related to leases of low-value assets |   | 2,803                                        | 6,215  | 7,856                                      | 12,871 |
|                                                | ₩ | 25,125                                       | 27,690 | 53,226                                     | 65,627 |

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**June 30, 2025 and 2024 (Unaudited)**

**13. Goodwill and Other Intangible Assets**

Changes in the carrying amounts of goodwill and other intangible assets for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

(a) For the six-month period ended June 30, 2025

| <i>(in millions of Won)</i>       | Beginning | Acquisitions | Disposals | Amortization | Impairment loss | Others(*2) | Ending    |
|-----------------------------------|-----------|--------------|-----------|--------------|-----------------|------------|-----------|
| Goodwill                          | ₩ 357,851 | -            | -         | -            | -               | (716)      | 357,135   |
| Intellectual property rights      | 3,247,517 | 185,139      | (1)       | (143,479)    | (25,665)        | (39,212)   | 3,224,299 |
| Membership(*1)                    | 136,108   | 723          | (2,221)   | (93)         | (11)            | (339)      | 134,167   |
| Development expense               | 95,041    | 7,762        | -         | (16,336)     | -               | 10,257     | 96,724    |
| Port facilities usage rights      | 167,996   | -            | -         | (7,422)      | -               | -          | 160,574   |
| Exploration and evaluation assets | 115,309   | 33,323       | -         | -            | -               | (5,085)    | 143,547   |
| Development assets                | 86,711    | -            | -         | (168)        | -               | (31,842)   | 54,701    |
| Customer relationships            | 145,699   | -            | -         | (22,239)     | -               | 6,971      | 130,431   |
| Other intangible assets           | 422,592   | 68,028       | (41)      | (31,316)     | (2)             | (14,691)   | 444,570   |
| ₩                                 | 4,774,824 | 294,975      | (2,263)   | (221,053)    | (25,678)        | (74,657)   | 4,746,148 |

(\*1) Estimated useful life of membership is indefinite.

(\*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

(b) For the year ended December 31, 2024

| <i>(in millions of Won)</i>       | Beginning | Acquisitions | Business Combination | Disposals | Amortization | Impairment loss | Others(*2) | Ending    |
|-----------------------------------|-----------|--------------|----------------------|-----------|--------------|-----------------|------------|-----------|
| Goodwill                          | ₩ 403,172 | -            | 282                  | -         | -            | (46,958)        | 1,355      | 357,851   |
| Intellectual property rights      | 3,029,651 | 353,175      | -                    | (240)     | (272,730)    | -               | 137,661    | 3,247,517 |
| Membership(*1)                    | 138,184   | 1,716        | -                    | (4,179)   | (180)        | 29              | 538        | 136,108   |
| Development expense               | 126,818   | 15,913       | -                    | (22)      | (63,684)     | (692)           | 16,708     | 95,041    |
| Port facilities usage rights      | 182,411   | -            | -                    | -         | (14,415)     | -               | -          | 167,996   |
| Exploration and evaluation assets | 163,446   | 21,024       | -                    | -         | -            | -               | (69,161)   | 115,309   |
| Development assets                | 10,235    | 543          | -                    | -         | (76)         | -               | 76,009     | 86,711    |
| Customer relationships            | 196,895   | -            | -                    | -         | (44,478)     | -               | (6,718)    | 145,699   |
| Other intangible assets           | 463,972   | 118,563      | -                    | (102,012) | (58,126)     | (252)           | 447        | 422,592   |
| ₩                                 | 4,714,784 | 510,934      | 282                  | (106,453) | (453,689)    | (47,873)        | 156,839    | 4,774,824 |

(\*1) Estimated useful life of membership is indefinite.

(\*2) Presenting assets transferred from construction-in-progress to intangible assets and assets transferred from property, plant and equipment, adjustments of foreign currency translation difference and others.

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**June 30, 2025 and 2024 (Unaudited)**

**14. Other Assets**

Other assets as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                            |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|----------------------------|---|----------------------|--------------------------|
| <b>Current</b>             |   |                      |                          |
| Advance payments           | ₩ | 548,417              | 509,922                  |
| Prepaid expenses           |   | 222,428              | 259,145                  |
| Firm commitment asset      |   | 5,219                | 2,489                    |
| Other current assets       |   | 14,819               | 15,387                   |
|                            | ₩ | <u>790,883</u>       | <u>786,943</u>           |
| <b>Non-current</b>         |   |                      |                          |
| Long-term advance payments | ₩ | 40,174               | 33,308                   |
| Long-term prepaid expenses |   | 18,425               | 20,689                   |
| Others                     |   | 48,126               | 79,688                   |
|                            | ₩ | <u>106,725</u>       | <u>133,685</u>           |

**15. Borrowings**

(a) Short-term borrowings and current portion of long-term borrowings and others as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                                                           | <b>Lenders</b>                            | <b>Issuance date</b>          | <b>Maturity date</b>      | <b>Interest rate (%)</b> |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-----------------------------------------------------------|-------------------------------------------|-------------------------------|---------------------------|--------------------------|---|----------------------|--------------------------|
| <b>Short-term borrowings</b>                              |                                           |                               |                           |                          |   |                      |                          |
| Bank overdrafts                                           | JP Morgan and others                      | July, 2024~<br>June, 2025     | July, 2025~<br>June, 2026 | 3.65 ~ 7.40              | ₩ | 53,092               | 85,892                   |
| Short-term borrowings                                     | HSBC and others                           | April, 2024~<br>June, 2025    | July, 2025~<br>June, 2026 | 0.49 ~ 8.10              |   | 6,040,359            | 5,647,199                |
|                                                           |                                           |                               |                           |                          |   | <u>6,093,451</u>     | <u>5,733,091</u>         |
| <b>Current portion of long-term liabilities</b>           |                                           |                               |                           |                          |   |                      |                          |
| Current portion of long-term borrowings                   | Export-Import Bank of<br>Korea and others | December, 2006~<br>June, 2025 | July, 2025~<br>June, 2026 | 0.19 ~ 6.40              |   | 1,086,204            | 1,323,002                |
| Current portion of debentures                             | KB Securities co.,Ltd. and<br>others      | July, 2015~<br>March, 2024    | July, 2025~<br>June, 2026 | 1.68 ~ 5.80              |   | 4,561,060            | 4,024,084                |
| Less: Current portion of<br>discount on debentures issued |                                           |                               |                           |                          |   | (4,033)              | (3,483)                  |
| Current portion of exchangeable bonds(*1)                 | Foreign currency exchangeable bonds       | September, 2021               | September, 2026           |                          |   | 41,709               | 39,053                   |
|                                                           |                                           |                               |                           |                          |   | <u>5,684,940</u>     | <u>5,382,656</u>         |
|                                                           |                                           |                               |                           |                          | ₩ | <u>11,778,391</u>    | <u>11,115,747</u>        |

(\*1) The Group classified the exchangeable bonds as current liabilities in consideration of the investor's exchange right.

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**15. Borrowings (cont'd)**

The issuance conditions of the exchangeable bonds issued by the Company are as follows:

|                                   | <b>Foreign currency exchangeable bonds</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Type of bond                      | Exchangeable bonds                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Aggregate principal amount(*1)    | EUR 27,100,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Interest rate                     | - Coupon rate : -<br>- Yield to maturity : (0.78%)                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Maturity date                     | September 1, 2026                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Redemption                        | - Redemption at maturity : Outstanding bond principal, which is not repaid early or which call option is not exercised on, is repaid at maturity as a lump sum<br>- Prepayment : The issuer has call option and the bondholders have put option                                                                                                                                                                                                                                            |
| Exchange rate                     | 100%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Exchange price(*2)<br>(Won/share) | 429,064                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Underlying shares                 | Registered common shares(treasury shares)                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Exchange period                   | From October 12, 2021 to August 22, 2026                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Adjustments for exchange price    | Adjusting the exchange price according to the terms and conditions of the bond in the events of reason for adjusting the exchange price such as, bonus issue, share split, share consolidation, change of share type, issuance of options or warranties to shareholders, share dividend, cash dividend, issuance of new shares under the market price.                                                                                                                                     |
| Put option by bondholders         | - In the event of a change of control of the Company<br>- Where the shares issued by the Company are delisted (or suspended for more than 30 consecutive trading days)                                                                                                                                                                                                                                                                                                                     |
| Call option by the issuer         | - Share price(based on closing price) is higher than 130% of exchange price for more than 20 trading days during 30 consecutive trading days in a row, after 3 years (September 1, 2024) from the closing day to 30 business days before the maturity of bonds<br>- When the outstanding balance of outstanding bonds is less than 10% of the total issuance (Clean-Up Call)<br>- Where additional reasons for tax burden arise due to the amendment of relevant laws and regulations, etc |

(\*1) Due to put option exercised by bondholders, EUR 1,038,800,000 was redeemed out of the total face value of exchangeable bonds of EUR 1,065,900,000 for the year ended December 31, 2024.

(\*2) The exchange price has changed due to cash dividends paid for the six-month period ended June 30, 2025.

The Group has designated exchangeable bonds listed on the Singapore Stock Exchange as financial liabilities measured at fair value through profit or loss. The quoted transaction price is used in fair value measurement, and changes in fair value are recognized in profit or loss.



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**15. Borrowings (cont'd)**

(b) Long-term borrowings, excluding current portion and others, as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                                     | <u>Lenders</u>                         | <u>Issuance date</u>        | <u>Maturity date</u>    | <u>Interest rate (%)</u> |   | <u>June 30, 2025</u>  | <u>December 31, 2024</u> |
|-------------------------------------|----------------------------------------|-----------------------------|-------------------------|--------------------------|---|-----------------------|--------------------------|
| Long-term borrowings                | Export-Import Bank of Korea and others | September, 2001~ June, 2025 | July, 2026~ March, 2040 | 0.10 ~ 8.50              | ₩ | 6,098,980<br>(47,022) | 4,868,703<br>(51,173)    |
| Less: Present value discount        |                                        |                             |                         |                          |   |                       |                          |
| Bonds                               | KB Securities co.,Ltd. and others      | July, 2019~ May, 2025       | July, 2026~ May, 2035   | 1.72 ~ 6.38              |   | 9,682,140<br>(44,373) | 10,108,600<br>(44,510)   |
| Less: Discount on debentures issued |                                        |                             |                         |                          | ₩ | 15,689,725            | 14,881,620               |

(c) Assets pledged as collateral with regard to the borrowings as of June 30, 2025 are as follows:

(in millions of Won)

|                                                       | <u>Lenders</u>                    | <u>Book value</u> | <u>Pledged amount</u> |
|-------------------------------------------------------|-----------------------------------|-------------------|-----------------------|
| Property, plant and equipment and Investment property | Korea Development Bank and others | ₩ 3,987,683       | 4,957,270             |
| Trade accounts and notes receivable                   | Korea Development Bank and others | 233,719           | 233,719               |
| Financial instruments                                 | Korea Development Bank and others | 72,157            | 72,157                |
|                                                       |                                   | ₩ 4,293,559       | 5,263,146             |

**16. Other Payables**

Other payables as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                        |   | <u>June 30, 2025</u> | <u>December 31, 2024</u> |
|------------------------|---|----------------------|--------------------------|
| <b>Current</b>         |   |                      |                          |
| Accounts payable       | ₩ | 1,585,896            | 1,652,957                |
| Accrued expenses       |   | 1,118,497            | 1,275,068                |
| Dividend payable       |   | 3,807                | 4,182                    |
| Lease liabilities      |   | 182,232              | 161,601                  |
| Withholdings           |   | 344,142              | 370,063                  |
|                        | ₩ | 3,234,574            | 3,463,871                |
| <b>Non-current</b>     |   |                      |                          |
| Accounts payable       | ₩ | 5,646                | 6,096                    |
| Accrued expenses       |   | 14,866               | 11,979                   |
| Lease liabilities      |   | 1,052,990            | 744,500                  |
| Long-term withholdings |   | 49,172               | 46,437                   |
|                        | ₩ | 1,122,674            | 809,012                  |

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**17. Other Financial Liabilities**

Other financial liabilities as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>     |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|---------------------------------|---|----------------------|--------------------------|
| <b>Current</b>                  |   |                      |                          |
| Derivative liabilities          | ₩ | 56,361               | 108,786                  |
| Financial guarantee liabilities |   | 6,385                | 4,972                    |
| Others                          |   | 7,116                | 7,117                    |
|                                 | ₩ | <u>69,862</u>        | <u>120,875</u>           |
| <b>Non-current</b>              |   |                      |                          |
| Derivative liabilities          | ₩ | 57,607               | 2,236                    |
| Financial guarantee liabilities |   | 8,824                | 8,944                    |
| Others                          |   | 59,859               | 61,740                   |
|                                 | ₩ | <u>126,290</u>       | <u>72,920</u>            |

**18. Provisions**

(a) Provisions as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>                      |   | <b>June 30, 2025</b> |                    | <b>December 31, 2024</b> |                    |
|--------------------------------------------------|---|----------------------|--------------------|--------------------------|--------------------|
|                                                  |   | <b>Current</b>       | <b>Non-current</b> | <b>Current</b>           | <b>Non-current</b> |
| Provision for bonus payments                     | ₩ | 93,016               | 70,975             | 121,757                  | 70,104             |
| Provision for construction warranties            |   | 41,908               | 143,149            | 49,659                   | 137,201            |
| Provision for legal contingencies and claims(*1) |   | 6,058                | 77,564             | 17,960                   | 78,486             |
| Provision for the restoration                    |   | 4,496                | 205,163            | 10,041                   | 197,810            |
| Others(*2)                                       |   | <u>136,205</u>       | <u>76,203</u>      | <u>196,613</u>           | <u>96,958</u>      |
|                                                  | ₩ | <u>281,683</u>       | <u>573,054</u>     | <u>396,030</u>           | <u>580,559</u>     |

(\*1) The Group recognized probable outflow of resources amounting to ₩63,936million and ₩80,220 million as provisions for legal contingencies and asserted claim in relation to lawsuits against the Group as of June 30, 2025 and December 31, 2024, respectively.

(\*2) According to the *Act on the promotion of the development, use and diffusion of new and renewable energy*, POSCO INTERNATIONAL Corporation is obliged to supply a certain amount of power generated by new and renewable energy sources. In accordance with the Act, POSCO INTERNATIONAL Corporation estimated the cost required to fulfill its obligations, such as insufficient supply of power using new and renewable energy to be borne, and as of June 30, 2025 and December 31, 2024, the Group recognized ₩12,367 million and ₩64,249 million respectively, as provision.

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**18. Provisions (cont'd)**

(b) Changes in provisions for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the six-month period ended June 30, 2025

| <i>(in millions of Won)</i>                  |   | <b>Beginning</b> | <b>Increase</b> | <b>Utilization</b> | <b>Reversal</b> | <b>Others(*1)</b> | <b>Ending</b>  |
|----------------------------------------------|---|------------------|-----------------|--------------------|-----------------|-------------------|----------------|
| Provision for bonus payments                 | ₩ | 191,861          | 35,108          | (79,854)           | (4,639)         | 21,515            | 163,991        |
| Provision for construction warranties        |   | 186,860          | 10,134          | (10,342)           | (1,284)         | (311)             | 185,057        |
| Provision for legal contingencies and claims |   | 96,446           | 2,763           | (9,341)            | (2,026)         | (4,220)           | 83,622         |
| Provision for the restoration                |   | 207,851          | 13,668          | (256)              | (4,811)         | (6,793)           | 209,659        |
| Others                                       |   | 293,571          | 63,600          | (7,253)            | (16,114)        | (121,396)         | 212,408        |
|                                              | ₩ | <u>976,589</u>   | <u>125,273</u>  | <u>(107,046)</u>   | <u>(28,874)</u> | <u>(111,205)</u>  | <u>854,737</u> |

(\*1) Including adjusted foreign currency translation differences and others.

2) For the year ended December 31, 2024

| <i>(in millions of Won)</i>                  |   | <b>Beginning</b> | <b>Increase</b> | <b>Utilization</b> | <b>Reversal</b>  | <b>Others(*1)</b> | <b>Ending</b>  |
|----------------------------------------------|---|------------------|-----------------|--------------------|------------------|-------------------|----------------|
| Provision for bonus payments                 | ₩ | 184,391          | 224,339         | (187,004)          | (29,461)         | (404)             | 191,861        |
| Provision for construction warranties        |   | 196,758          | 53,244          | (48,471)           | (8,274)          | (6,397)           | 186,860        |
| Provision for legal contingencies and claims |   | 73,062           | 54,929          | (12,964)           | (19,743)         | 1,162             | 96,446         |
| Provision for the restoration                |   | 175,820          | 28,917          | (8,311)            | (6,485)          | 17,910            | 207,851        |
| Others                                       |   | 257,722          | 255,624         | (151,362)          | (76,790)         | 8,377             | 293,571        |
|                                              | ₩ | <u>887,753</u>   | <u>617,053</u>  | <u>(408,112)</u>   | <u>(140,753)</u> | <u>20,648</u>     | <u>976,589</u> |

(\*1) Including transfer to liabilities held for sale and adjusted foreign currency translation differences and others.

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**19. Employee Benefits**

**(a) Defined contribution plans**

The expenses related to defined contribution retirement plans for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| <i>(in millions of Won)</i>                                                          |   | <b>For the three-month periods<br/>ended June 30</b> |             | <b>For the six-month periods<br/>ended June 30</b> |             |
|--------------------------------------------------------------------------------------|---|------------------------------------------------------|-------------|----------------------------------------------------|-------------|
|                                                                                      |   | <b>2025</b>                                          | <b>2024</b> | <b>2025</b>                                        | <b>2024</b> |
|                                                                                      |   |                                                      |             |                                                    |             |
| Expense related to post-employment benefit plans<br>under defined contribution plans | ₩ | 18,867                                               | 18,731      | 37,631                                             | 37,400      |

**(b) Defined benefit plans**

- 1) The amounts recognized in relation to net defined benefit assets in the statements of financial position as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>             |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-----------------------------------------|---|----------------------|--------------------------|
| Present value of funded obligations     | ₩ | 2,557,298            | 2,589,246                |
| Fair value of plan assets(*1)           |   | (2,815,473)          | (2,962,342)              |
| Present value of non-funded obligations |   | 5,301                | 7,092                    |
| Net defined benefit liabilities         | ₩ | <u>(252,874)</u>     | <u>(366,004)</u>         |

(\*1) As of June 30, 2025 and December 31, 2024, the Group recognized net defined benefit assets amounting to ₩313,750 million and ₩409,147 million, respectively, since there are consolidated entities whose fair value of plan assets exceeded the present value of defined benefit obligations.

- 2) The amounts recognized in relation to net defined benefit plan in the interim condensed consolidated statements of comprehensive income for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| <i>(in millions of Won)</i> |   | <b>For the three-month periods<br/>ended June 30</b> |                | <b>For the six-month periods<br/>ended June 30</b> |                 |
|-----------------------------|---|------------------------------------------------------|----------------|----------------------------------------------------|-----------------|
|                             |   | <b>2025</b>                                          | <b>2024</b>    | <b>2025</b>                                        | <b>2024</b>     |
|                             |   |                                                      |                |                                                    |                 |
| Current service costs       | ₩ | 67,164                                               | 65,526         | 136,942                                            | 133,348         |
| Net interest costs          |   | <u>(3,635)</u>                                       | <u>(5,011)</u> | <u>(7,891)</u>                                     | <u>(10,585)</u> |
|                             | ₩ | <u>63,529</u>                                        | <u>60,515</u>  | <u>129,051</u>                                     | <u>122,763</u>  |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**20. Other Liabilities**

Other liabilities as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>        |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|------------------------------------|---|----------------------|--------------------------|
| <b>Current</b>                     |   |                      |                          |
| Due to customers for contract work | ₩ | 471,907              | 491,495                  |
| Advances received                  |   | 388,226              | 253,171                  |
| Unearned revenue                   |   | 120,078              | 87,969                   |
| Withholdings                       |   | 195,083              | 307,753                  |
| Firm commitment liability          |   | 5,299                | 10,384                   |
| Others(*1)                         |   | 23,993               | 22,726                   |
|                                    | ₩ | <u>1,204,586</u>     | <u>1,173,498</u>         |
| <b>Non-current</b>                 |   |                      |                          |
| Unearned revenue                   | ₩ | 3,857                | 4,317                    |
| Others(*1)                         |   | 97,747               | 94,942                   |
|                                    | ₩ | <u>101,604</u>       | <u>99,259</u>            |

(\*1) As of June 30, 2025 and December 31, 2024, the Group recognized the assumed liability amounting to ₩37,590 million and ₩41,770 million, respectively, related to unfavorable terms of a customer contract compared to market-terms upon the acquisition of Senex Energy Limited.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**21. Financial Instruments**

(a) Classification and fair value of financial instruments

- 1) The carrying amounts and fair values of financial assets and financial liabilities by levels in the fair value hierarchy as of June 30, 2025 and December 31, 2024 are as follows:

① June 30, 2025

(in millions of Won)

| (in millions of Won)                                 |              | Fair value |            |           |            |  |
|------------------------------------------------------|--------------|------------|------------|-----------|------------|--|
|                                                      | Book value   | Level 1    | Level 2    | Level 3   | Total      |  |
| <b>Financial assets</b>                              |              |            |            |           |            |  |
| Fair value through profit or loss                    |              |            |            |           |            |  |
| Derivative assets                                    | ₩ 304,187    | -          | 304,187    | -         | 304,187    |  |
| Short-term financial instruments                     | 836,290      | -          | 836,290    | -         | 836,290    |  |
| Equity securities                                    | 74,676       | 15,491     | -          | 59,185    | 74,676     |  |
| Debt securities                                      | 115,167      | -          | 82,461     | 32,706    | 115,167    |  |
| Other securities                                     | 739,626      | -          | -          | 739,626   | 739,626    |  |
| Derivative hedging instruments(*2)                   | 7,870        | -          | 7,870      | -         | 7,870      |  |
| Fair value through other comprehensive income        |              |            |            |           |            |  |
| Equity securities                                    | 1,216,421    | 782,405    | -          | 434,016   | 1,216,421  |  |
| Assets held for sale                                 | 402,860      | 402,860    | -          | -         | 402,860    |  |
| Financial assets measured at amortized cost(*1)      |              |            |            |           |            |  |
| Cash and cash equivalents                            | 7,002,287    | -          | -          | -         | -          |  |
| Trade accounts and notes receivable                  | 9,557,255    | -          | -          | -         | -          |  |
| Other receivables                                    | 2,749,616    | -          | -          | -         | -          |  |
| Debt securities                                      | 709,288      | -          | -          | -         | -          |  |
| Deposit instruments                                  | 8,023,569    | -          | -          | -         | -          |  |
| Assets held for sale                                 | 27,272       | -          | -          | -         | -          |  |
|                                                      | ₩ 31,766,384 | 1,200,756  | 1,230,808  | 1,265,533 | 3,697,097  |  |
| <b>Financial liabilities</b>                         |              |            |            |           |            |  |
| Fair value through profit or loss                    |              |            |            |           |            |  |
| Derivative liabilities                               | ₩ 108,260    | -          | 108,260    | -         | 108,260    |  |
| Borrowings                                           | 41,709       | 41,709     | -          | -         | 41,709     |  |
| Derivative hedging instruments(*2)                   | 5,708        | -          | 5,708      | -         | 5,708      |  |
| Financial liabilities measured at amortized cost(*1) |              |            |            |           |            |  |
| Trade accounts and notes payable                     | 5,266,310    | -          | -          | -         | -          |  |
| Borrowings                                           | 27,426,407   | -          | 27,673,436 | -         | 27,673,436 |  |
| Financial guarantee liabilities                      | 15,209       | -          | -          | -         | -          |  |
| Others                                               | 3,708,520    | -          | -          | -         | -          |  |
| Other financial Liabilities                          | 66,975       | -          | -          | -         | -          |  |
|                                                      | ₩ 36,639,098 | 41,709     | 27,787,404 | -         | 27,829,113 |  |

(\*1) The fair values of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(\*2) The Group applies hedge accounting which uses forward contracts as hedging instruments in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instruments in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

**POSCO HOLDINGS INC. and its subsidiaries**  
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**June 30, 2025 and 2024 (Unaudited)**

**21. Financial Instruments (cont'd)**

② December 31, 2024

(in millions of Won)

(in millions of Won)

|                                                      |              | Fair value |            |           |            |
|------------------------------------------------------|--------------|------------|------------|-----------|------------|
|                                                      | Book value   | Level 1    | Level 2    | Level 3   | Total      |
| <b>Financial assets</b>                              |              |            |            |           |            |
| Fair value through profit or loss                    |              |            |            |           |            |
| Derivative assets                                    | ₩ 946,393    | -          | 946,393    | -         | 946,393    |
| Short-term financial instruments                     | 1,212,643    | -          | 1,212,643  | -         | 1,212,643  |
| Equity securities                                    | 52,222       | 26,792     | -          | 25,430    | 52,222     |
| Debt securities                                      | 113,728      | -          | 82,699     | 31,029    | 113,728    |
| Other securities                                     | 762,177      | -          | -          | 762,177   | 762,177    |
| Derivative hedging instruments(*2)                   | 16,483       | -          | 16,483     | -         | 16,483     |
| Fair value through other comprehensive income        |              |            |            |           |            |
| Equity securities                                    | 1,119,322    | 703,181    | -          | 416,141   | 1,119,322  |
| Assets held for sale                                 | 604,439      | 604,439    | -          | -         | 604,439    |
| Financial assets measured at amortized cost(*1)      |              |            |            |           |            |
| Cash and cash equivalents                            | 6,767,898    | -          | -          | -         | -          |
| Trade accounts and notes receivable                  | 9,374,217    | -          | -          | -         | -          |
| Other receivables                                    | 2,739,523    | -          | -          | -         | -          |
| Debt securities                                      | 402,644      | -          | -          | -         | -          |
| Deposit instruments                                  | 6,445,428    | -          | -          | -         | -          |
|                                                      | ₩ 30,557,117 | 1,334,412  | 2,258,218  | 1,234,777 | 4,827,407  |
| <b>Financial liabilities</b>                         |              |            |            |           |            |
| Fair value through profit or loss                    |              |            |            |           |            |
| Derivative liabilities                               | ₩ 105,187    | -          | 105,187    | -         | 105,187    |
| Borrowings                                           | 39,053       | 39,053     | -          | -         | 39,053     |
| Derivative hedging instruments(*2)                   | 5,835        | -          | 5,835      | -         | 5,835      |
| Financial liabilities measured at amortized cost(*1) |              |            |            |           |            |
| Trade accounts and notes payable                     | 6,161,177    | -          | -          | -         | -          |
| Borrowings                                           | 25,958,314   | -          | 26,166,994 | -         | 26,166,994 |
| Financial guarantee liabilities                      | 13,916       | -          | -          | -         | -          |
| Others                                               | 3,895,526    | -          | -          | -         | -          |
| Other financial Liabilities                          | 68,857       | -          | -          | -         | -          |
|                                                      | ₩ 36,247,865 | 39,053     | 26,278,016 | -         | 26,317,069 |

(\*1) The fair values of financial assets and liabilities measured at amortized cost except borrowings approximates their carrying amounts.

(\*2) The Group applies hedge accounting which uses forward contracts as hedging instruments in order to hedge the risk of changes in fair value of product prices regarding firm commitments or purchase commitments. Also, the Group applies cash flow hedge accounting which uses currency swap as hedging instruments in order to hedge the risk of interest rate and foreign exchange rate changes in foreign currency which influence cash flow from borrowings.

2) Finance income and costs by category of financial instrument for each of the six-month periods ended June 30, 2025 and 2024 are as follows:

① For the six-month period ended June 30, 2025

(in millions of Won)

|                                                                   |   | Finance income and costs  |                   |                                   |                           |          | Other comprehensive income (loss) |
|-------------------------------------------------------------------|---|---------------------------|-------------------|-----------------------------------|---------------------------|----------|-----------------------------------|
|                                                                   |   | Interest income (expense) | Loss on valuation | Gain and loss on foreign currency | Gain and loss on disposal | Others   |                                   |
| Financial assets at fair value through profit or loss             | ₩ | -                         | (745)             | -                                 | 27,981                    | 1,282    | 28,518                            |
| Derivative assets                                                 |   | -                         | (234,893)         | -                                 | 141,784                   | -        | (93,109)                          |
| Financial assets at fair value through other comprehensive income |   | -                         | -                 | -                                 | -                         | 27,487   | 27,487                            |
| Financial assets measured at amortized cost                       |   | 252,225                   | -                 | (447,731)                         | (40,949)                  | (3,983)  | (240,438)                         |
| Financial liabilities at fair value through profit or loss        |   | -                         | (1,003)           | -                                 | -                         | -        | (1,003)                           |
| Derivative liabilities                                            |   | -                         | (237,140)         | -                                 | (227,318)                 | -        | (464,458)                         |
| Financial liabilities measured at amortized cost                  |   | (525,259)                 | -                 | 816,965                           | -                         | (19,231) | 272,475                           |
|                                                                   | ₩ | (273,034)                 | (473,781)         | 369,234                           | (98,502)                  | 5,555    | (470,528)                         |
|                                                                   |   |                           |                   |                                   |                           |          | 13,852                            |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**21. Financial Instruments (cont'd)**

② For the six-month period ended June 30, 2024

(in millions of Won)

|                                                                   | Finance income and costs  |                   |                                   |                           |          |             | Other comprehensive loss |
|-------------------------------------------------------------------|---------------------------|-------------------|-----------------------------------|---------------------------|----------|-------------|--------------------------|
|                                                                   | Interest income (expense) | Gain on valuation | Gain and loss on foreign currency | Gain and loss on disposal | Others   | Total       |                          |
| Financial assets at fair value through profit or loss             | ₩ -                       | 99,499            | -                                 | 59,230                    | 327      | 159,056     | -                        |
| Derivative assets                                                 | -                         | 409,145           | -                                 | 127,890                   | -        | 537,035     | -                        |
| Financial assets at fair value through other comprehensive income | -                         | -                 | -                                 | -                         | 22,887   | 22,887      | (76,947)                 |
| Financial assets measured at amortized cost                       | 301,735                   | -                 | 611,299                           | (38,349)                  | (7,124)  | 867,561     | -                        |
| Financial liabilities at fair value through profit or loss        | -                         | 234,218           | (74,475)                          | -                         | -        | 159,743     | -                        |
| Derivative liabilities                                            | -                         | 42,523            | -                                 | (125,997)                 | -        | (83,474)    | (22)                     |
| Financial liabilities measured at amortized cost                  | (519,012)                 | -                 | (1,018,174)                       | -                         | (14,671) | (1,551,857) | -                        |
| ₩                                                                 | (217,277)                 | 785,385           | (481,350)                         | 22,774                    | 1,419    | 110,951     | (76,969)                 |

**(b) Financial risk management**

The Group is exposed to credit risk, liquidity risk and market risk arising from financial assets and liabilities. The Group's financial risk management objectives and policies are consistent with those disclosed in the consolidated financial statements as of and for the year ended December 31, 2024.

**22. Share Capital and Capital Surplus**

(a) Details of share capital as of June 30, 2025 and December 31, 2024 are as follows:

| (Share, in Won)     | June 30, 2025     | December 31, 2024 |
|---------------------|-------------------|-------------------|
| Authorized shares   | 200,000,000       | 200,000,000       |
| Par value           | ₩ 5,000           | 5,000             |
| Issued shares(*1,2) | 80,932,952        | 82,624,377        |
| Share capital(*3)   | ₩ 482,403,125,000 | 482,403,125,000   |

(\*1) As of June 30, 2025, total number of American Depositary Receipts (ADRs) outstanding in overseas stock market amounts to 7,986,828 and such ADRs are equivalent to 1,996,707 shares of common stock.

(\*2) Pursuant to the resolution of the Board of Directors' meeting on February 19, 2025, the Company decided to retire 1,691,425 shares using distributable profits, and it was completed on March 31, 2025. As a result, as of June 30, 2025, the Company's total number of issued shares has decreased.

(\*3) As of June 30, 2025, the difference between the ending balance of common stock and the aggregate par value of issued common stock is ₩77,738 million due to retirement of 15,547,673 treasury stocks.



**POSCO HOLDINGS INC. and its subsidiaries**  
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**June 30, 2025 and 2024 (Unaudited)**

**22. Share Capital and Capital Surplus (cont'd)**

(b) Details of capital surplus as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>         |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|-------------------------------------|---|----------------------|--------------------------|
| Share premium                       | ₩ | 463,825              | 463,825                  |
| Gain on disposal of treasury shares |   | 808,994              | 808,994                  |
| Other capital surplus               |   | 332,686              | 376,075                  |
|                                     | ₩ | <u>1,605,505</u>     | <u>1,648,894</u>         |

**23. Other components of equity**

Details of other components of equity as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>                                                                  |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|----------------------------------------------------------------------------------------------|---|----------------------|--------------------------|
| Capital adjustment arising from investments in equity-accounted investees                    | ₩ | (135,168)            | 76,870                   |
| Changes in fair value of equity investments at fair value through other comprehensive income |   | 32,983               | 20,066                   |
| Foreign currency translation differences                                                     |   | 416,247              | 983,071                  |
| Losses on valuation of derivatives                                                           |   | (1,184)              | (925)                    |
| Others                                                                                       |   | 76,347               | 76,347                   |
|                                                                                              | ₩ | <u>389,225</u>       | <u>1,155,429</u>         |

**24. Treasury Shares**

Based on the Board of Directors' resolution, the Group holds treasury shares for business purposes including price stabilization. Changes in treasury shares for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

| <i>(shares, in millions of Won)</i> | <b>June 30, 2025</b>    |                    | <b>December 31, 2024</b> |                    |
|-------------------------------------|-------------------------|--------------------|--------------------------|--------------------|
|                                     | <b>Number of shares</b> | <b>Amount</b>      | <b>Number of shares</b>  | <b>Amount</b>      |
| Beginning                           | 7,003,598               | ₩ 1,550,862        | 8,695,023                | ₩ 1,889,658        |
| Acquisition of treasury shares      | -                       | -                  | 255,428                  | 92,311             |
| Retirement of treasury shares       | (1,691,425)             | (374,545)          | (1,946,853)              | (431,107)          |
| Ending                              | <u>5,312,173</u>        | <u>₩ 1,176,317</u> | <u>7,003,598</u>         | <u>₩ 1,550,862</u> |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**25. Revenue**

**(a) Disaggregation of revenue**

1) Details of revenue disaggregated by types of revenue and timing of revenue recognition for each of the six-month periods ended June 30, 2025 and 2024 are as follows:

① For the six-month period ended June 30, 2025

(in millions of Won)

| Types of revenue                      |   | Infrastructure |            |              |                      | Rechargeable battery materials | Others | Total      |
|---------------------------------------|---|----------------|------------|--------------|----------------------|--------------------------------|--------|------------|
|                                       |   | Steel          | Trading    | Construction | Logistics and others |                                |        |            |
| Revenue from sales of goods           | ₩ | 18,190,227     | 10,862,377 | -            | 1,855                | 1,069,670                      | -      | 30,124,129 |
| Revenue from services                 |   | 420,331        | 1,212,207  | 62,740       | 112,023              | 399                            | 6,618  | 1,814,318  |
| Revenue from construction contract    |   | -              | -          | 2,887,572    | -                    | 22,161                         | -      | 2,909,733  |
| Others                                |   | 84,693         | 2,423      | 5,506        | 22,097               | -                              | 28,564 | 144,183    |
|                                       | ₩ | 18,695,251     | 12,077,007 | 2,955,818    | 136,875              | 1,092,230                      | 35,182 | 34,992,363 |
| <b>Timing of revenue recognition</b>  |   |                |            |              |                      |                                |        |            |
| Revenue recognized at a point in time | ₩ | 18,274,920     | 10,864,800 | 108,433      | 24,852               | 1,069,670                      | 28,564 | 30,371,239 |
| Revenue recognized over time          |   | 420,331        | 1,212,207  | 2,847,385    | 112,023              | 22,560                         | 6,618  | 4,621,124  |
|                                       | ₩ | 18,695,251     | 12,077,007 | 2,955,818    | 136,875              | 1,092,230                      | 35,182 | 34,992,363 |

② For the six-month period ended June 30, 2024

(in millions of Won)

| Types of revenue                      |   | Infrastructure |            |              |                      | Rechargeable battery materials | Others | Total      |
|---------------------------------------|---|----------------|------------|--------------|----------------------|--------------------------------|--------|------------|
|                                       |   | Steel          | Trading    | Construction | Logistics and others |                                |        |            |
| Revenue from sales of goods           | ₩ | 19,131,314     | 9,648,714  | -            | 5,026                | 1,591,368                      | -      | 30,376,422 |
| Revenue from services                 |   | 432,743        | 1,588,599  | 58,063       | 165,983              | 2,516                          | 4,790  | 2,252,694  |
| Revenue from construction contract    |   | -              | -          | 3,758,839    | -                    | 13,608                         | -      | 3,772,447  |
| Others                                |   | 92,494         | 3,088      | 8,825        | 22,305               | -                              | 33,356 | 160,068    |
|                                       | ₩ | 19,656,551     | 11,240,401 | 3,825,727    | 193,314              | 1,607,492                      | 38,146 | 36,561,631 |
| <b>Timing of revenue recognition</b>  |   |                |            |              |                      |                                |        |            |
| Revenue recognized at a point in time | ₩ | 19,223,808     | 9,651,802  | 189,927      | 27,331               | 1,591,368                      | 33,356 | 30,717,592 |
| Revenue recognized over time          |   | 432,743        | 1,588,599  | 3,635,800    | 165,983              | 16,124                         | 4,790  | 5,844,039  |
|                                       | ₩ | 19,656,551     | 11,240,401 | 3,825,727    | 193,314              | 1,607,492                      | 38,146 | 36,561,631 |

2) Details of revenue disaggregated by types of revenue and timing of revenue recognition for each of the three-month periods ended June 30, 2025 and 2024 are as follows:

① For the three-month period ended June 30, 2025

(in millions of Won)

| Types of revenue                      |   | Green Infrastructure |           |              |                      | Rechargeable battery materials | Others | Total      |
|---------------------------------------|---|----------------------|-----------|--------------|----------------------|--------------------------------|--------|------------|
|                                       |   | Steel                | Trading   | Construction | Logistics and others |                                |        |            |
| Revenue from sales of goods           | ₩ | 9,060,502            | 5,591,325 | -            | -                    | 452,627                        | -      | 15,104,454 |
| Revenue from services                 |   | 196,918              | 628,479   | 36,129       | 28,819               | 399                            | 1,673  | 892,417    |
| Revenue from construction contract    |   | -                    | -         | 1,445,177    | -                    | 18,020                         | -      | 1,463,197  |
| Others                                |   | 52,585               | 837       | 4,567        | 12,144               | -                              | 25,386 | 95,519     |
|                                       | ₩ | 9,310,005            | 6,220,641 | 1,485,873    | 40,963               | 471,046                        | 27,059 | 17,555,587 |
| <b>Timing of revenue recognition</b>  |   |                      |           |              |                      |                                |        |            |
| Revenue recognized at a point in time | ₩ | 9,113,087            | 5,592,162 | 97,864       | 12,144               | 452,627                        | 25,386 | 15,293,070 |
| Revenue recognized over time          |   | 196,918              | 628,479   | 1,388,009    | 28,819               | 16,419                         | 1,673  | 2,262,517  |
|                                       | ₩ | 9,310,005            | 6,220,641 | 1,485,873    | 40,963               | 471,046                        | 27,059 | 17,555,587 |

② For the three-month period ended June 30, 2024

(in millions of Won)

| Types of revenue                      |   | Green Infrastructure |           |              |                      | Rechargeable battery materials | Others | Total      |
|---------------------------------------|---|----------------------|-----------|--------------|----------------------|--------------------------------|--------|------------|
|                                       |   | Steel                | Trading   | Construction | Logistics and others |                                |        |            |
| Revenue from sales of goods           | ₩ | 9,540,165            | 5,016,381 | -            | 1,500                | 693,977                        | -      | 15,252,023 |
| Revenue from services                 |   | 196,881              | 889,025   | 32,805       | 82,350               | 639                            | 900    | 1,202,600  |
| Revenue from construction contract    |   | -                    | -         | 1,944,860    | -                    | 6,516                          | -      | 1,951,376  |
| Others                                |   | 58,729               | 1,227     | 5,187        | 11,894               | -                              | 26,645 | 103,682    |
|                                       | ₩ | 9,795,775            | 5,906,633 | 1,982,852    | 95,744               | 701,132                        | 27,545 | 18,509,681 |
| <b>Timing of revenue recognition</b>  |   |                      |           |              |                      |                                |        |            |
| Revenue recognized at a point in time | ₩ | 9,596,894            | 5,017,608 | 177,848      | 13,394               | 693,977                        | 26,645 | 15,528,366 |
| Revenue recognized over time          |   | 196,881              | 889,025   | 1,805,004    | 82,350               | 7,155                          | 900    | 2,981,315  |
|                                       | ₩ | 9,795,775            | 5,906,633 | 1,982,852    | 95,744               | 701,132                        | 27,545 | 18,509,681 |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

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**25. Revenue (cont'd)**

(b) Details of contract assets and liabilities from contracts with customers as of June 30, 2025 and December 31, 2024 are as follows:

| <i>(in millions of Won)</i>          |   | <b>June 30, 2025</b> | <b>December 31, 2024</b> |
|--------------------------------------|---|----------------------|--------------------------|
| <b>Receivables</b>                   |   |                      |                          |
| Trade accounts and notes receivable  | ₩ | 9,557,255            | 9,374,218                |
| <b>Contract assets</b>               |   |                      |                          |
| Due from customers for contract work |   | 1,565,417            | 1,475,180                |
| <b>Contract liabilities</b>          |   |                      |                          |
| Advance received                     |   | 392,070              | 256,522                  |
| Due to customers for contract work   |   | 471,907              | 491,495                  |
| Unearned revenue                     |   | 121,426              | 89,807                   |

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**26. Contract under Input Method**

(a) Details of outstanding contracts as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                              |   | June 30, 2025        |          | December 31, 2024    |         |
|------------------------------|---|----------------------|----------|----------------------|---------|
|                              |   | Construction segment | Others   | Construction segment | Others  |
| Accumulated cost             | ₩ | 20,939,956           | 295,965  | 27,830,242           | 262,814 |
| Accumulated contract profit  |   | 1,248,116            | 46,966   | 1,903,582            | 43,690  |
| Accumulated contract loss    |   | (519,983)            | (11,708) | (707,167)            | (1,930) |
| Accumulated contract revenue |   | 21,668,089           | 331,223  | 29,026,657           | 304,574 |

(b) Details of due from customers for contract works and due to customers for contract works as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                                    |   | June 30, 2025        |         | December 31, 2024    |          |
|------------------------------------|---|----------------------|---------|----------------------|----------|
|                                    |   | Construction segment | Others  | Construction segment | Others   |
| Due from customers for contract    | ₩ | 1,539,498            | 38,360  | 1,473,843            | 13,716   |
| Due to customers for contract work |   | (467,551)            | (4,356) | (479,546)            | (11,949) |
|                                    | ₩ | 1,071,947            | 34,004  | 994,297              | 1,767    |

(c) Details of the provisions for construction loss as of June 30, 2025 and December 31, 2024 are as follows:

(in millions of Won)

|                      |   | June 30, 2025 | December 31, 2024 |
|----------------------|---|---------------|-------------------|
| Construction segment | ₩ | 25,557        | 52,492            |
| Others               |   | 594           | 857               |
|                      | ₩ | 26,151        | 53,349            |

(d) For the six-month period ended June 30, 2025, the total contract revenues and the estimated total contract costs have changed and the impact of such changes on profit before income tax for the current and future periods are as follows:

(in millions of Won)

|                      |   | Changes in total contract revenue | Changes in estimated total contract costs | Changes in profit (loss) of contract |               |         |
|----------------------|---|-----------------------------------|-------------------------------------------|--------------------------------------|---------------|---------|
|                      |   |                                   |                                           | Net income (loss)                    | Future income | Total   |
| Construction segment | ₩ | 1,027,653                         | 909,254                                   | (56,975)                             | 175,374       | 118,399 |
| Others               |   | 1,371                             | (2)                                       | 1,265                                | 108           | 1,373   |
|                      | ₩ | 1,029,024                         | 909,252                                   | (55,710)                             | 175,482       | 119,772 |

The above details of impact on profit for the current and future periods are calculated based on the total contract costs estimated considering the events that occurred for the period from the commencement date of the contract to June 30, 2025 and the estimated total contract revenue as of June 30, 2025. The estimated total contract costs and revenue are subject to change in future periods.

## 26. Contract under Input Method (cont'd)

### (e) Uncertainty of estimates

#### 1) Total contract revenues

Total contract revenues are measured based on contractual amount initially agreed. However, the contract revenues can increase due to additional contract work, claims and incentive payments, or decrease due to penalty when the completion of contract is delayed due to the Group's fault. Therefore, this measurement of contract revenues is affected by the uncertainty of the occurrence of future events.

#### 2) Total contract costs

Contract revenues are recognized based on the percentage of completion, which is measured on the basis of the gross cost amount incurred to date. Total contract costs are estimated based on estimates of future material costs, labor costs, outsourcing costs. There is uncertainty in estimates on future contract costs due to various internal and external factors such as fluctuation of market, the risk of business partner and the experience of project performance and others. The significant assumptions including uncertainty of the estimate of total contract costs are as follows:

|                  | <b>Method of significant assumption</b>                                   |
|------------------|---------------------------------------------------------------------------|
| Material cost    | Based on recent purchasing price at market price                          |
| Labor cost       | Based on average monthly and daily labor cost                             |
| Outsourcing cost | Based on historical cost over similar project and actual contractual rate |

Management reviews estimated contract costs at each reporting period end and adjusts them, if necessary.

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**27. Selling and Administrative Expenses**

**(a) Other administrative expenses**

Other administrative expenses for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| (in millions of Won)                         | For the three-month periods<br>ended June 30 |         | For the six-month periods<br>ended June 30 |           |
|----------------------------------------------|----------------------------------------------|---------|--------------------------------------------|-----------|
|                                              | 2025                                         | 2024    | 2025                                       | 2024      |
| Wages and salaries                           | ₩ 275,133                                    | 272,628 | 587,901                                    | 576,479   |
| Expenses related to post-employment benefits | 21,657                                       | 22,606  | 46,149                                     | 46,450    |
| Other employee benefits                      | 73,595                                       | 71,980  | 155,730                                    | 149,509   |
| Travel                                       | 14,291                                       | 12,053  | 26,259                                     | 22,430    |
| Depreciation                                 | 41,496                                       | 43,211  | 89,582                                     | 84,041    |
| Amortization                                 | 28,829                                       | 29,409  | 57,046                                     | 56,622    |
| Communication                                | 2,491                                        | 2,419   | 6,252                                      | 6,309     |
| Electricity                                  | 3,556                                        | 3,283   | 8,279                                      | 6,956     |
| Taxes and public dues                        | 35,241                                       | 33,594  | 54,623                                     | 48,831    |
| Rental                                       | 10,939                                       | 17,293  | 20,622                                     | 22,058    |
| Repairs                                      | 2,684                                        | 4,450   | 5,295                                      | 7,918     |
| Entertainment                                | 2,856                                        | 2,752   | 6,209                                      | 6,745     |
| Advertising                                  | 23,977                                       | 24,962  | 42,214                                     | 45,314    |
| Research & development                       | 47,295                                       | 54,665  | 94,165                                     | 104,010   |
| Service fees                                 | 77,380                                       | 72,806  | 130,724                                    | 126,153   |
| Vehicles maintenance                         | 2,047                                        | 1,963   | 4,195                                      | 3,971     |
| Industry association fee                     | 3,430                                        | 4,065   | 7,277                                      | 6,386     |
| Conference                                   | 5,866                                        | 5,579   | 11,911                                     | 10,396    |
| Bad debt expenses                            | 15,339                                       | 4,164   | 41,201                                     | 21,903    |
| Others                                       | 20,591                                       | 14,317  | 28,642                                     | 31,166    |
|                                              | ₩ 708,693                                    | 698,199 | 1,424,276                                  | 1,383,647 |

**(b) Selling expenses**

Selling expenses for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| (in millions of Won)                       | For the three-month periods<br>ended June 30 |        | For the six-month periods<br>ended June 30 |         |
|--------------------------------------------|----------------------------------------------|--------|--------------------------------------------|---------|
|                                            | 2025                                         | 2024   | 2025                                       | 2024    |
| Freight and custody expenses               | ₩ 5,781                                      | 7,822  | 10,968                                     | 13,902  |
| Operating expenses for distribution center | 191                                          | 354    | 374                                        | 619     |
| Sales commissions                          | 21,451                                       | 19,703 | 39,374                                     | 41,757  |
| Sales advertising                          | 308                                          | 239    | 402                                        | 439     |
| Sales promotion                            | 2,506                                        | 2,464  | 5,053                                      | 5,207   |
| Sample                                     | 595                                          | 557    | 1,332                                      | 1,125   |
| Sales insurance premium                    | 9,138                                        | 7,444  | 18,625                                     | 15,683  |
| Contract cost                              | 25,559                                       | 4,208  | 37,554                                     | 22,074  |
| Others                                     | 3,961                                        | 2,008  | 7,662                                      | 4,355   |
|                                            | ₩ 69,490                                     | 44,799 | 121,344                                    | 105,161 |

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**28. Finance Income and Costs**

Details of finance income and costs for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

(in millions of Won)

| (in millions of Won)                                                                |   | For the three-month periods |           | For the six-month periods |           |
|-------------------------------------------------------------------------------------|---|-----------------------------|-----------|---------------------------|-----------|
|                                                                                     |   | ended June 30               |           | ended June 30             |           |
|                                                                                     |   | 2025                        | 2024      | 2025                      | 2024      |
| <b>Finance income</b>                                                               |   |                             |           |                           |           |
| Interest income                                                                     | ₩ | 126,553                     | 129,299   | 252,225                   | 301,735   |
| Dividend income                                                                     |   | 11,529                      | 5,004     | 28,769                    | 23,214    |
| Gain on foreign currency transactions                                               |   | 376,226                     | 327,981   | 633,555                   | 632,824   |
| Gain on foreign currency translations                                               |   | 692,583                     | 162,429   | 924,274                   | 464,956   |
| Gain on derivatives transactions                                                    |   | 89,475                      | 65,659    | 153,703                   | 143,833   |
| Gain on valuations of derivatives                                                   |   | (56,214)                    | 214,933   | 23,934                    | 515,281   |
| Gain on disposals of financial assets at fair value<br>through profit or loss       |   | 15,083                      | 49,440    | 31,317                    | 74,727    |
| Gain on valuations of financial assets at fair value<br>through profit or loss      |   | 5,155                       | 41,331    | 15,806                    | 126,637   |
| Gain on valuations of financial liabilities at fair value<br>through profit or loss |   | -                           | 90,217    | -                         | 234,218   |
| Others                                                                              |   | 3,662                       | 1,729     | 5,148                     | 4,898     |
|                                                                                     | ₩ | 1,264,052                   | 1,088,022 | 2,068,731                 | 2,522,323 |
| <b>Finance costs</b>                                                                |   |                             |           |                           |           |
| Interest expenses                                                                   | ₩ | 262,903                     | 272,211   | 525,259                   | 519,012   |
| Loss on foreign currency transactions                                               |   | 435,025                     | 287,728   | 708,746                   | 553,796   |
| Loss on foreign currency translations                                               |   | 264,680                     | 439,002   | 479,849                   | 1,025,334 |
| Loss on derivatives transactions                                                    |   | 118,010                     | 81,395    | 239,237                   | 141,940   |
| Loss on valuation of derivatives                                                    |   | 464,676                     | 16,714    | 495,967                   | 63,613    |
| Loss on disposal of trade accounts and notes receivable                             |   | 20,930                      | 20,920    | 40,949                    | 38,349    |
| Loss on disposals of financial assets at fair value<br>through profit or loss       |   | 2,435                       | 2,603     | 3,336                     | 15,497    |
| Loss on valuations of financial assets at fair value<br>through profit or loss      |   | 9,458                       | 14,265    | 16,551                    | 27,138    |
| Loss on valuations of financial liabilities at fair value<br>through profit or loss |   | 922                         | -         | 1,003                     | -         |
| Others                                                                              |   | 12,059                      | 18,352    | 28,362                    | 26,693    |
|                                                                                     | ₩ | 1,591,098                   | 1,153,190 | 2,539,259                 | 2,411,372 |

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**29. Other Non-Operating Income and Expenses**

Details of other non-operating income and expenses for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

| (in millions of Won)                                                               | For the three-month periods<br>ended June 30 |                | For the six-month periods<br>ended June 30 |                |
|------------------------------------------------------------------------------------|----------------------------------------------|----------------|--------------------------------------------|----------------|
|                                                                                    | 2025                                         | 2024           | 2025                                       | 2024           |
|                                                                                    |                                              |                |                                            |                |
| <b>Other non-operating income</b>                                                  |                                              |                |                                            |                |
| Recovery of other bad debt expenses                                                | ₩ 1,304                                      | 1,369          | 1,649                                      | 3,691          |
| Gain on disposals of investment<br>in subsidiaries, associates and joint ventures  | (474)                                        | 7,078          | 24,973                                     | 7,096          |
| Gain on disposals of property, plant and equipment                                 | 19,855                                       | 6,053          | 22,018                                     | 12,050         |
| Gain on disposal of assets held for sale                                           | -                                            | -              | 52,148                                     | -              |
| Gain on valuation of firm commitment                                               | 9,049                                        | 17,876         | 18,655                                     | 31,323         |
| Reversal of other provisions                                                       | 3,608                                        | (219)          | 7,427                                      | 2,240          |
| Gain on disposals of emission rights                                               | -                                            | 10,373         | 4                                          | 13,343         |
| Others                                                                             | 17,315                                       | 26,737         | 56,647                                     | 56,953         |
|                                                                                    | ₩ <u>50,657</u>                              | <u>69,267</u>  | <u>183,521</u>                             | <u>126,696</u> |
| <b>Other non-operating expenses</b>                                                |                                              |                |                                            |                |
| Other bad debt expenses                                                            | ₩ 13,490                                     | 752            | 13,490                                     | 11,599         |
| Loss on disposals of investments<br>in subsidiaries, associates and joint ventures | 556                                          | 42,574         | 752                                        | 42,594         |
| Loss on disposals of property, plant and equipment                                 | 39,760                                       | 22,975         | 53,034                                     | 36,340         |
| Impairment loss on property, plant and equipment                                   | 65,579                                       | 22,491         | 113,159                                    | 63,122         |
| Impairment loss on intangible assets                                               | 25,667                                       | -              | 25,678                                     | 11             |
| Loss on disposal of assets held for sale                                           | 653                                          | 3,590          | 653                                        | 34,812         |
| Loss on valuation of firm commitment                                               | 17,873                                       | 17,835         | 20,320                                     | 19,144         |
| Donations                                                                          | 10,327                                       | 11,938         | 31,850                                     | 35,071         |
| Idle tangible asset expenses                                                       | 1,165                                        | 875            | 2,486                                      | 2,341          |
| Increase to provisions                                                             | 3,338                                        | 4,114          | 4,643                                      | 7,193          |
| Others                                                                             | 12,209                                       | 5,791          | 37,702                                     | 42,586         |
|                                                                                    | ₩ <u>190,617</u>                             | <u>132,935</u> | <u>303,767</u>                             | <u>294,813</u> |

**30. Expenses by Nature**

Expenses that are recorded by nature as cost of sales, selling and administrative expenses, impairment loss on other receivables and other non-operating expenses in the statements of comprehensive income for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows (excluding finance costs and income tax expense):

|                                                      |   | For the three-month periods<br>ended June 30 |                   | For the six-month periods<br>ended June 30 |                   |
|------------------------------------------------------|---|----------------------------------------------|-------------------|--------------------------------------------|-------------------|
|                                                      |   | 2025                                         | 2024              | 2025                                       | 2024              |
| Raw material used, changes in inventories and others | ₩ | 8,945,921                                    | 10,021,927        | 19,453,869                                 | 20,487,292        |
| Employee benefits expenses                           |   | 1,206,538                                    | 1,205,676         | 2,472,507                                  | 2,416,870         |
| Outsourced processing cost                           |   | 2,288,309                                    | 2,772,605         | 4,325,967                                  | 5,322,194         |
| Electricity and water expenses                       |   | 313,885                                      | 260,632           | 677,904                                    | 583,210           |
| Depreciation(*1)                                     |   | 908,471                                      | 807,197           | 1,818,192                                  | 1,688,062         |
| Amortization                                         |   | 108,297                                      | 113,920           | 221,053                                    | 236,561           |
| Freight and custody expenses                         |   | 805,253                                      | 569,508           | 1,367,470                                  | 1,243,976         |
| Sales commissions                                    |   | 21,451                                       | 19,703            | 39,374                                     | 41,757            |
| Loss on disposal of property, plant and equipment    |   | 39,760                                       | 22,975            | 53,034                                     | 36,340            |
| Impairment loss on property, plant and equipment     |   | 65,579                                       | 22,491            | 113,159                                    | 63,122            |
| Impairment loss on intangible assets                 |   | 25,667                                       | -                 | 25,678                                     | 11                |
| Donations                                            |   | 10,327                                       | 11,937            | 31,850                                     | 35,071            |
| Other expenses                                       |   | 2,399,574                                    | 2,062,045         | 3,520,460                                  | 3,366,956         |
|                                                      | ₩ | <u>17,139,032</u>                            | <u>17,890,616</u> | <u>34,120,517</u>                          | <u>35,521,422</u> |

(\*1) Including depreciation of investment property.



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**31. Income Taxes**

The effective tax rates of the Group for each of the six-month periods ended June 30, 2025 and 2024 are 41.96% and 20.52%, respectively.

**(a) Application of the Consolidated Tax Payment System**

In 2025, the Group has applied the consolidated tax payment system, under which a controlling company and its domestic subsidiaries, if economically integrated, are treated as a single tax entity for corporate income tax purposes. Under this system, the controlling company, as the consolidated parent entity, is responsible for filing and paying the corporate income tax on behalf of the entire consolidated group. After payment, the parent company collects the corresponding tax amounts from each domestic subsidiary.

Domestic and foreign subsidiaries that are not included in the consolidated tax payment system calculate and pay corporate income tax based on each legal entity as a separate tax unit.

Deferred tax assets and deferred tax liabilities of entities included in the consolidated tax payment system are offset when the Group has a legally enforceable right to offset current tax assets against current tax liabilities, and the deferred tax assets and liabilities relate to income taxes levied by the same tax authority and there is an intention to settle them on a net basis.

**(b) Global minimum tax**

In 2023, Pillar Two legislation has been enacted in the Republic of Korea, where the controlling company is domiciled, which is effective for the fiscal years starting on or after January 1, 2024. Accordingly, the Group calculated the Pillar Two income tax expense for the six-month period ended June 30, 2025 as it is subject to global minimum tax under the OECD's Pillar Two Model Rules. The Group reviewed subsidiaries qualifying as taxpayers, including the controlling company and, as a result, did not recognize any income tax expense for the six-month period ended June 30, 2025 as the impact of the global minimum tax on the consolidated financial statements as of June 30, 2025 would not be significant. Furthermore, the Group applies temporary exception to the recognition and disclosure of deferred taxes arising from the jurisdictional implementation of the Pillar Two Model Rules as prescribed in KIFRS 1012 *Income Taxes*. Accordingly, it did not recognize deferred tax assets and liabilities related to the global minimum tax and does not disclose information related to deferred income tax.

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**32. Earnings per Share**

- (a) Basic earnings per share for each of the three-month and six-month periods ended June 30, 2025 and 2024 are as follows:

(in Won, except per share information)

|                                                          |   | For the three-month periods<br>ended June 30 |                 | For the six-month periods<br>ended June 30 |                   |
|----------------------------------------------------------|---|----------------------------------------------|-----------------|--------------------------------------------|-------------------|
|                                                          |   | 2025                                         | 2024            | 2025                                       | 2024              |
| Profit attributable to controlling interest              | ₩ | 159,865,185,533                              | 529,933,233,564 | 462,160,578,704                            | 1,070,648,510,509 |
| Weighted-average number of common shares outstanding(*1) |   | 75,620,779                                   | 75,876,207      | 75,620,779                                 | 75,876,207        |
| Basic earnings per share                                 | ₩ | 2,114                                        | 6,984           | 6,112                                      | 14,110            |

- (\*1) The weighted-average number of common shares used to calculate basic earnings per share is as follows:

(shares)

|                                                      | For the three-month periods<br>ended June 30 |             | For the six-month periods<br>ended June 30 |             |
|------------------------------------------------------|----------------------------------------------|-------------|--------------------------------------------|-------------|
|                                                      | 2025                                         | 2024        | 2025                                       | 2024        |
| Total number of common shares issued                 | 80,932,952                                   | 84,571,230  | 81,773,992                                 | 84,571,230  |
| Weighted-average number of treasury shares           | (5,312,173)                                  | (8,695,023) | (6,153,213)                                | (8,695,023) |
| Weighted-average number of common shares outstanding | 75,620,779                                   | 75,876,207  | 75,620,779                                 | 75,876,207  |

The Group has exchangeable bonds that can be exchanged for common stocks with dilutive effects as of June 30, 2025. The diluted earnings per share for the six-month period ended June 30, 2024 is the same as the basic earnings per share due to the anti-dilutive effect.

- (b) Diluted earnings per share for the three-month and six-month period ended June 30, 2024 are calculated as follows:

(in Won, except share information)

|                                                                      |   | For the three-month period<br>ended June 30, 2024 | For the six-month period<br>ended June 30, 2024 |
|----------------------------------------------------------------------|---|---------------------------------------------------|-------------------------------------------------|
| Profit attributable to controlling interest                          | ₩ | 529,933,233,564                                   | 1,070,648,510,509                               |
| Loss on revaluation of exchangeable bonds considering exchange rates |   | (42,639,885,285)                                  | (130,478,878,909)                               |
| Adjusted weighted-average number of common shares outstanding(*1)    |   | 79,144,249                                        | 79,133,915                                      |
| Diluted earnings per share                                           |   | 6,157                                             | 11,881                                          |

- (\*1) The weighted-average number of common shares outstanding used to calculate diluted earnings per share is as follows:

(shares)

|                                                      | For the three-month period<br>ended June 30, 2024 | For the six-month period<br>ended June 30, 2024 |
|------------------------------------------------------|---------------------------------------------------|-------------------------------------------------|
| Weighted-average number of common shares outstanding | 75,876,207                                        | 75,876,207                                      |
| Weighted-average number of potential common shares   | 3,268,042                                         | 3,257,708                                       |
| Adjusted weighted-average number of common shares    | 79,144,249                                        | 79,133,915                                      |

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**33. Related Party Transactions**

(a) Related parties of the Group as of June 30, 2025 are as follows:

| Type                                         | Company                                                                                                                                                                                                                                                                  |
|----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Investments in associates and joint ventures | [Domestic]<br>POSCO MC MATERIALS, Samcheok Blue Power Co.,Ltd.,<br>SNNC and others.                                                                                                                                                                                      |
|                                              | [Foreign]<br>Roy Hill Holdings Pty Ltd, POSCO-NPS Niobium LLC, KOBRASCO,<br>PT NICOLE METAL INDUSTRY, HBIS-POSCO Automotive Steel Co.,Ltd,<br>South-East Asia Gas Pipeline Company Ltd., 9404-5515 Quebec Inc.,<br>KOREA LNG LTD., Nickel Mining Company SAS and others. |

(b) Material transactions between the Group and the related parties for each of the six-month periods ended June 30, 2025 and 2024 are as follows:

1) For the six-month period ended June 30, 2025

(in millions of Won)

|                                                | Sales and others(*1) |           |        | Purchase and others  |        |
|------------------------------------------------|----------------------|-----------|--------|----------------------|--------|
|                                                | Sales                | Dividends | Others | Purchase of material | Others |
| <b>Associates and joint ventures(*1)</b>       |                      |           |        |                      |        |
| New Songdo International City Development, LLC | ₩ 42,264             | -         | -      | -                    | 54     |
| SNNC                                           | 48,646               | -         | 4      | 355,240              | 2,596  |
| POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER       | 25,818               | -         | -      | 3                    | -      |
| Gunggi Green Energy                            | 7,103                | -         | -      | -                    | 2,715  |
| POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd              | 5,703                | -         | -      | 7                    | -      |
| POS SeAH Steel Wire(Nantong) Co., Ltd.         | 28,060               | -         | -      | 495                  | -      |
| South-East Asia Gas Pipeline Company Ltd.      | -                    | 11,941    | -      | -                    | -      |
| POSCO MC MATERIALS                             | 69,133               | 3,000     | -      | 3,400                | 271    |
| Samcheok Blue Power Co., Ltd.                  | 103,083              | 2,795     | -      | -                    | -      |
| POSCO(Guangdong) Automotive Steel Co., Ltd     | 92,510               | -         | -      | 121,003              | -      |
| HBIS-POSCO Automotive Steel Co., Ltd           | 15,387               | -         | -      | 20,486               | -      |
| Roy Hill Holdings Pty Ltd                      | 1,682                | 118,313   | -      | 758,356              | -      |
| Others                                         | 106,651              | 73,224    | 594    | 160,614              | 23,350 |
|                                                | ₩ 546,040            | 209,273   | 598    | 1,419,604            | 28,986 |

(\*1) As of June 30, 2025, the Group provides payment guarantees to the related parties (see Note 34).

2) For the six-month period ended June 30, 2024

(in millions of Won)

|                                                | Sales and others(*1) |           |        | Purchase and others  |        |
|------------------------------------------------|----------------------|-----------|--------|----------------------|--------|
|                                                | Sales                | Dividends | Others | Purchase of material | Others |
| <b>Associates and joint ventures(*1)</b>       |                      |           |        |                      |        |
| New Songdo International City Development, LLC | ₩ 116,952            | -         | 1,427  | -                    | 128    |
| SNNC                                           | 62,058               | -         | 3      | 197,081              | 65     |
| POSCO-SAMSUNG-SLOVAKIA PROCESSING CENTER       | 23,625               | -         | 13     | 782                  | -      |
| Gunggi Green Energy                            | 17,933               | -         | -      | -                    | 3,155  |
| POS-SEAHSTEELWIRE(TIANJIN)CO.,Ltd              | 6,710                | -         | -      | -                    | -      |
| POSCO SeAH Steel Wire(Nantong) Co., Ltd.       | 26,485               | -         | -      | 1                    | -      |
| South-East Asia Gas Pipeline Company Ltd.      | -                    | 35,255    | -      | -                    | -      |
| POSCO MC MATERIALS                             | 57,155               | 1,800     | -      | 2,608                | 186    |
| Samcheok Blue Power Co., Ltd.                  | 139,917              | 5,424     | 428    | -                    | -      |
| Pocheon-Hwado Highway Corp.                    | 50,663               | -         | -      | -                    | 1      |
| POSCO(Guangdong) Automotive Steel Co., Ltd     | 133,238              | -         | -      | 157,256              | -      |
| HBIS-POSCO Automotive Steel Co., Ltd           | 23,714               | -         | -      | 12,396               | -      |
| Roy Hill Holdings Pty Ltd                      | -                    | 218,861   | -      | 958,554              | -      |
| Others                                         | 48,069               | 75,307    | 3,467  | 81,432               | 54,954 |
|                                                | ₩ 706,519            | 336,647   | 5,338  | 1,410,110            | 58,489 |

(\*1) As of June 30, 2024, the Group provides payment guarantees to the related parties (see Note 34).

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**33. Related Party Transactions (cont'd)**

(c) The balances of receivables and payables arising from significant transactions between the Group and the related parties as of June 30, 2025 and December 31, 2024 are as follows:

**1) June 30, 2025**

(in millions of Won)

| (In millions of Won)                       |   | Receivables(*1)                     |         |         |           | Payables                         |        |         |
|--------------------------------------------|---|-------------------------------------|---------|---------|-----------|----------------------------------|--------|---------|
|                                            |   | Trade accounts and notes receivable | Loans   | Others  | Total     | Trade accounts and notes payable | Others | Total   |
| Associates and joint ventures              |   |                                     |         |         |           |                                  |        |         |
| New Songdo International City              |   |                                     |         |         |           |                                  |        |         |
| Development, LLC                           | ₩ | 62,696                              | -       | 1,651   | 64,347    | -                                | 6,373  | 6,373   |
| Gunggi Green Energy                        |   | 12,634                              | -       | 10,706  | 23,340    | -                                | 558    | 558     |
| POSCO(Guangdong) Automotive Steel Co., Ltd |   | 25,393                              | 1,859   | -       | 27,252    | 28,078                           | -      | 28,078  |
| AMCI (WA) PTY LTD                          |   | -                                   | 136,866 | -       | 136,866   | -                                | -      | -       |
| HBIS-POSCO Automotive Steel Co.,Ltd        |   | 5,889                               | -       | -       | 5,889     | 7,331                            | 1,566  | 8,897   |
| POS-SEAH STEEL WIRE(TIANJIN)CO.,Ltd        |   | 2,703                               | -       | -       | 2,703     | -                                | -      | -       |
| Samcheok Blue Power Co., Ltd.              |   | 187,945                             | -       | 255     | 188,200   | -                                | 385    | 385     |
| Nickel Mining Company SAS                  |   | -                                   | 71,631  | 167     | 71,798    | -                                | 358    | 358     |
| POS-SeAH Steel Wire(Nantong) Co., Ltd.     |   | 16,326                              | -       | -       | 16,326    | 104                              | -      | 104     |
| POSCO MC MATERIALS                         |   | 14,519                              | -       | 206     | 14,725    | 977                              | 288    | 1,265   |
| Pocheon-Hwado Highway Corp.                |   | 10,985                              | -       | -       | 10,985    | -                                | 2      | 2       |
| UITrans LRT Co., Ltd.                      |   | -                                   | 39,333  | 92      | 39,425    | -                                | -      | -       |
| Roy Hill Holdings Pty Ltd                  |   | 44,301                              | -       | 11,083  | 55,384    | 377,099                          | -      | 377,099 |
| SNNC                                       |   | 15,313                              | -       | 3,104   | 18,417    | 5,956                            | 347    | 6,303   |
| FQM Australia Holdings Pty Ltd             |   | -                                   | 273,791 | -       | 273,791   | -                                | -      | -       |
| Others                                     |   | 44,013                              | 19,240  | 127,523 | 190,776   | 49,168                           | 88,872 | 138,040 |
|                                            | ₩ | 442,717                             | 542,720 | 154,787 | 1,140,224 | 468,713                          | 98,749 | 567,462 |

(\*1) As of June 30, 2025, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩494,749 million.

**2) December 31, 2024**

(in millions of Won)

|                               |  | Receivables(*1)                     |         |         |           | Payables                            |         |         |
|-------------------------------|--|-------------------------------------|---------|---------|-----------|-------------------------------------|---------|---------|
|                               |  | Trade accounts and notes receivable | Loans   | Others  | Total     | Trade accounts and notes receivable | Others  | Total   |
| Associates and joint ventures |  |                                     |         |         |           |                                     |         |         |
| New Songdo International City |  |                                     |         |         |           |                                     |         |         |
|                               |  | 96,730                              | -       | 1,657   | 98,387    | -                                   | 30,087  | 30,087  |
|                               |  | 5,846                               | -       | 10,706  | 16,552    | -                                   | 567     | 567     |
|                               |  | 46,547                              | 6,162   | -       | 52,709    | 48,866                              | -       | 48,866  |
|                               |  | -                                   | 142,767 | -       | 142,767   | -                                   | -       | -       |
|                               |  | 13,924                              | -       | -       | 13,924    | 5,483                               | 1,922   | 7,405   |
|                               |  | 5,970                               | -       | -       | 5,970     | -                                   | -       | -       |
|                               |  | 189,173                             | -       | 148     | 189,321   | -                                   | 77,187  | 77,187  |
|                               |  | -                                   | 68,793  | 122     | 68,915    | -                                   | 358     | 358     |
|                               |  | 19,628                              | -       | -       | 19,628    | -                                   | -       | -       |
|                               |  | 14,544                              | -       | 168     | 14,712    | 1,314                               | 357     | 1,671   |
|                               |  | 10,985                              | -       | -       | 10,985    | -                                   | -       | -       |
|                               |  | 13,592                              | 51,051  | 9,187   | 73,830    | -                                   | -       | -       |
|                               |  | 25,023                              | -       | 8,836   | 33,859    | 356,234                             | 25      | 356,259 |
|                               |  | 12,861                              | -       | 70      | 12,931    | 10,322                              | 1,298   | 11,620  |
|                               |  | -                                   | 292,764 | -       | 292,764   | -                                   | -       | -       |
|                               |  | 27,728                              | 19,730  | 138,239 | 185,697   | 10,168                              | 10,129  | 20,297  |
|                               |  | 482,551                             | 581,267 | 169,133 | 1,232,951 | 432,387                             | 121,930 | 554,317 |

(\*1) As of December 31, 2024, the Group recognizes an allowance for doubtful account for receivables above amounting to ₩506,673 million.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
**June 30, 2025 and 2024 (Unaudited)**

**33. Related Party Transactions (cont'd)**

(d) Major financial transactions between the Group and the related parties for the six-month period ended June 30, 2025 and the year ended December 31, 2024 are as follows:

1) For the six-month period ended June 30, 2025

| <i>(in millions of Won)</i>                 |   | <b>Beginning</b> | <b>Lend</b>   | <b>Collect</b>  | <b>Others(*1)</b> | <b>Ending</b>  |
|---------------------------------------------|---|------------------|---------------|-----------------|-------------------|----------------|
| <b>Associates and joint ventures</b>        |   |                  |               |                 |                   |                |
| UITrans LRT Co., Ltd.                       | ₩ | 51,051           | -             | (11,718)        | -                 | 39,333         |
| PT. Tanggamus Electric Power                |   | 3,854            | -             | (2,479)         | 1,636             | 3,011          |
| Nickel Mining Company SAS                   |   | 68,793           | -             | -               | 2,838             | 71,631         |
| KRAKATAU POS-CHEM DONG-SUH CHEMICAL         |   | 1,470            | -             | (1,427)         | (43)              | -              |
| Hyo-chun Co., Ltd.                          |   | 2,382            | -             | -               | -                 | 2,382          |
| AMCI (WA) PTY LTD                           |   | 142,767          | 68            | (1,773)         | (4,196)           | 136,866        |
| POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD         |   | 5,636            | -             | (1,378)         | (288)             | 3,970          |
| FQM Australia Holdings Pty Ltd              |   | 292,764          | 1,625         | -               | (20,598)          | 273,791        |
| POHANG E&E Co., LTD                         |   | 3,228            | 1,059         | -               | -                 | 4,287          |
| POSCO(Guangdong) Automotive Steel Co., Ltd. |   | 6,162            | 33,457        | (37,543)        | (217)             | 1,859          |
| Gale International Korea, LLC               |   | 100              | 170           | -               | -                 | 270            |
| P&O Chemical Co., Ltd.                      |   | 3,060            | -             | -               | (3,060)           | -              |
| CAML                                        |   | -                | 5,429         | -               | (109)             | 5,320          |
|                                             | ₩ | <u>581,267</u>   | <u>41,808</u> | <u>(56,318)</u> | <u>(24,037)</u>   | <u>542,720</u> |

(\*1) Including adjustments of foreign currency translation differences and others.

2) For the year ended December 31, 2024

| <i>(in millions of Won)</i>                 |   | <b>Beginning</b> | <b>Lend</b>   | <b>Collect</b>  | <b>Others(*1)</b> | <b>Ending</b>  |
|---------------------------------------------|---|------------------|---------------|-----------------|-------------------|----------------|
| <b>Associates and joint ventures</b>        |   |                  |               |                 |                   |                |
| UITrans LRT Co., Ltd.                       | ₩ | 46,335           | 4,718         | -               | (2)               | 51,051         |
| PT. Tanggamus Electric Power                |   | 4,826            | -             | (1,288)         | 316               | 3,854          |
| Nickel Mining Company SAS                   |   | 64,197           | -             | -               | 4,596             | 68,793         |
| KRAKATAU POS-CHEM DONG-SUH CHEMICAL         |   | 2,579            | -             | (1,379)         | 270               | 1,470          |
| Hyo-chun Co., Ltd.                          |   | 2,382            | -             | -               | -                 | 2,382          |
| AMCI (WA) PTY LTD                           |   | 112,177          | 6,499         | -               | 24,091            | 142,767        |
| POS-AUSTEM WUHAN AUTOMOTIVE CO.,LTD         |   | 5,158            | -             | -               | 478               | 5,636          |
| FQM Australia Holdings Pty Ltd              |   | 256,938          | 3,126         | -               | 32,700            | 292,764        |
| POHANG E&E Co., LTD                         |   | 1,646            | 1,582         | -               | -                 | 3,228          |
| POSCO(Guangdong) Automotive Steel Co., Ltd. |   | 14,332           | 59,402        | (68,294)        | 722               | 6,162          |
| Gale International Korea, LLC               |   | -                | 100           | -               | -                 | 100            |
| P&O Chemical Co., Ltd.                      |   | -                | 3,060         | -               | -                 | 3,060          |
|                                             | ₩ | <u>510,570</u>   | <u>78,487</u> | <u>(70,961)</u> | <u>63,171</u>     | <u>581,267</u> |

(\*1) Including adjusted foreign currency translation differences and others.

(e) For each of the six-month periods ended June 30, 2025 and 2024, there were additional investments in associates and joint ventures and others amounting to ₩151,870 million and ₩163,654 million, respectively.

(f) For each of the six-month periods ended June 30, 2025 and 2024, details of compensation to key management officers are as follows:

| <i>(in millions of Won)</i> |   | <b>June 30, 2025</b> | <b>June 30, 2024</b> |
|-----------------------------|---|----------------------|----------------------|
| Short-term benefits         | ₩ | 84,577               | 85,415               |
| Long-term benefits          |   | 3,086                | 4,878                |
| Retirement benefits         |   | 11,787               | 14,934               |
|                             | ₩ | <u>99,450</u>        | <u>105,227</u>       |

**33. Related Party Transactions (cont'd)**

Key management officers include directors (including non-standing directors), executive officials and fellow officials who have significant influences and responsibilities in the Group's business and operations.

**34. Commitments and Contingencies**

**(a) Contingent liabilities**

Contingent liabilities can change due to unforeseen circumstances; therefore, management continuously reviews whether the likelihood of an outflow of resources embodying economic benefits has increased. Except in extremely rare circumstances where it cannot be reliably estimated, if the likelihood of an outflow of future economic benefits has increased, even if it had been treated as a contingent liability in the past, such changes in likelihood are recognized as a provision in the consolidated financial statements for the period in which the change occurred.

Management of the Group makes estimates and assumptions that affect disclosures of commitments and contingencies. All estimates and assumptions are based on the evaluation of current circumstances and appraisals with the support of internal and/or external specialists.

Management of the Group regularly analyzes the most current information on contingent events and provides information regarding provisions related to contingent losses, including potential estimated legal costs. Such assessments are based on consultations with internal and external legal counsel. In making the decision on the recognition of a provision, management considers the likelihood of an outflow of resources embodying economic benefits to settle the obligation and the possibility of making a reliable estimate of the amount.

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
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**34. Commitments and Contingencies (cont'd)**

**(b) Details of guarantees**

- 1) Contingent liabilities from outstanding guarantees provided by the Group as of June 30, 2025 are as follows:

| (in millions of Won)                              |                                                           |                                                  | Guarantee limit  |                 | Guarantee amount |                 |
|---------------------------------------------------|-----------------------------------------------------------|--------------------------------------------------|------------------|-----------------|------------------|-----------------|
| Guarantor                                         | Guarantee beneficiary                                     | Financial institution                            | Foreign currency | Won equivalent  | Foreign currency | Won equivalent  |
| <b>[The Company]</b>                              |                                                           |                                                  |                  |                 |                  |                 |
| POSCO HOLDINGS INC.                               | POSCO Asia Co., Ltd.                                      | Credit Agricole and others                       | USD              | 200,000,000     | 271,280          | -               |
|                                                   | POSCO Argentina S A U                                     | HSBC and others                                  | USD              | 1,079,900,000   | 1,464,774        | 962,383,830     |
| POSCO                                             | POSCO-VIETNAM Co., Ltd.                                   | Shinhan Bank and others                          | USD              | 110,000,000     | 149,204          | 30,000,000      |
|                                                   | POSCO ASSAN TST STEELINDUSTRY Inc                         | Citibank and others                              | USD              | 136,500,000     | 185,149          | 122,850,000     |
| POSCO INTERNATIONAL Corporation                   | POSCO COATED STEEL (THAILAND) CO., LTD.                   | HSBC and others                                  | THB              | 4,800,000,000   | 199,488          | 1,776,000,000   |
|                                                   | GOLDEN LACE POSCO INTERNATIONAL CO., LTD.                 | POSCO Asia Co., Ltd.                             | USD              | 13,200,000      | 17,904           | 11,000,000      |
|                                                   | PT. Bio Inti Agrindo                                      | BTPN and others                                  | IDR              | 902,400,000,000 | 75,531           | 902,400,000,000 |
|                                                   | POSCO ASSAN TST STEEL INDUSTRY                            | Woori Bank Hong Kong and others                  | USD              | 13,650,000      | 18,515           | 13,650,000      |
|                                                   | POSCO INTERNATIONAL Deutschland GmbH                      |                                                  |                  |                 |                  | 10,561,860      |
|                                                   | POSCO INTERNATIONAL JAPAN Corp.                           |                                                  |                  |                 |                  | 13,845,142      |
|                                                   | POSCO INTERNATIONAL AMERICA Corp.                         |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL SINGAPORE Pte. Ltd.                   |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL Malaysia SDN BHD                      |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL ITALIA S.R.L.                         | Bank Mendes Gans Amsterdam                       | USD              | 50,000,000      | 67,820           | -               |
|                                                   | POSCO INTERNATIONAL MEXICOS A. de C.V.                    |                                                  |                  |                 |                  | 10,000,000      |
|                                                   | POSCO INTERNATIONAL AUSTRALIA HOLDINGS PTY                |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE              |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL POLAND E-MOBILITY Sp.z o.o            |                                                  |                  |                 |                  | -               |
|                                                   | POSCO INTERNATIONAL E&P MALAYSIA SDN. BHD.                | SC MALAYSIA                                      | USD              | 5,000,000       | 6,782            | 5,000,000       |
|                                                   | PT. KRAKATAU POSCO ENERGY                                 | POSCO Asia Co., Ltd. and others                  | USD              | 102,903,407     | 139,578          | 35,350,000      |
| POSCO INTERNATIONAL MEXICO E-MOBILITY S.A DE C.V. | Export-Import Bank of                                     |                                                  |                  |                 |                  |                 |
|                                                   | Korea and others                                          | USD                                              | 52,054,800       | 70,607          | 51,379,000       |                 |
|                                                   | PT Bank Negara Indonesia                                  | USD                                              | 750,000          | 1,017           | 750,000          |                 |
|                                                   | SMBC Singapore                                            | USD                                              | 20,880,000       | 28,322          | 20,880,000       |                 |
| POSCO STEELECON CO.,LTD.                          | Myanmar POSCO C&C Company, Limited.                       | POSCO Asia Co., Ltd.                             | USD              | 16,784,336      | 22,766           | 13,986,947      |
| POSCO FUTURE M CO., LTD.                          | ULTIUM CAM LIMITED PARTNERSHIP                            | Investissement Quebec, Strategic Innovation Fund | CAD              | 299,562,500     | 296,989          | 232,265,400     |
| <b>[Associates and joint ventures]</b>            |                                                           |                                                  |                  |                 |                  |                 |
| POSCO HOLDINGS INC.                               | Nickel Mining Company SAS                                 | SMBC                                             | EUR              | 46,000,000      | 73,223           | 46,000,000      |
| POSCO                                             | PT.Nicole Metal Industry                                  | STANDARD CHARTERED                               | USD              | 39,200,000      | 53,171           | 35,824,311      |
|                                                   | POSUK Titanium LLP                                        | Shinhan Bank                                     | USD              | 12,750,000      | 17,294           | 12,750,000      |
| POSCO INTERNATIONAL Corporation                   | GLOBAL KOMSCO Daewoo LLC                                  | Hana Bank Bahrain                                | USD              | 6,650,000       | 9,020            | 4,900,000       |
| POSCO Eco & Challenge Co., Ltd.                   | Chun-cheon Energy Co., Ltd                                | Kookmin Bank and others                          | KRW              | 149,200         | 149,200          | 122,170         |
| <b>[Others]</b>                                   |                                                           |                                                  |                  |                 |                  |                 |
| POSCO Eco & Challenge Co., Ltd.                   | Subcontractors for maintenance projects, etc.             | Kookmin Bank and others                          | KRW              | 787,423         | 787,423          | 169,934         |
| POSCO AUSTRALIA PTY LTD                           | Department of Trade and Investment (NSW Government) and o | Woori Bank and others                            | AUD              | 18,112,062      | 16,058           | 18,112,062      |
| PT. Bio Inti Agrindo                              | KSU Mandob Sejatera                                       | Bank Muamalat                                    | IDR              | 80,000,000,000  | 6,696            | 14,666,666,666  |
| POSCO COATED STEEL (THAILAND) CO., LTD.           | AMATA NATURAL GAS DISTRIBUTION COMPANY LIMITED and others | SC Bank                                          | THB              | 54,614,000      | 2,270            | 54,614,000      |
| POSCO Maharashtra Steel Private Limited           | BUREAU OF INDIAN STANDARDS (BIS)                          | SC Bank                                          | USD              | 10,000          | 14               | 10,000          |
|                                                   | Gall India and others                                     | HSBC and others                                  | INR              | 1,264,736,781   | 20,071           | 1,264,736,781   |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
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**34. Commitments and Contingencies (cont'd)**

2) Details of credit enhancements by type of the Group's PF business as of June 30, 2025 are as follows:

① Maintenance projects and others

a. The information about the maturity of the loans related to PF credit enhancements such as debt acceptance and fund supplementation is as follows:

| (in millions of Won)            |                                 |                      |                                                                                     |               |                                |               |                 |                      |                 |            |                  |                 |                  |               |
|---------------------------------|---------------------------------|----------------------|-------------------------------------------------------------------------------------|---------------|--------------------------------|---------------|-----------------|----------------------|-----------------|------------|------------------|-----------------|------------------|---------------|
|                                 | Provider                        | Projects(*1)         | Borrower                                                                            | Type          | Credit enhancement measures    | Agreed amount | Executed amount | Balance of the loans |                 |            |                  |                 |                  |               |
|                                 |                                 |                      |                                                                                     |               |                                |               |                 | Total                | Within 3 months | 3~6 months | 6 months ~1 year | 1 year ~2 years | 2 years ~3 years | After 3 years |
| [The Company]                   |                                 |                      |                                                                                     |               |                                |               |                 |                      |                 |            |                  |                 |                  |               |
|                                 | POSCO Eco & Challenge Co., Ltd. | Other projects       | JB CLARK HILLS CORP                                                                 | Main PF       | Debt assumption                | ₩ 44,761      | 37,301          | 37,301               | 37,301          | -          | -                | -               | -                | -             |
| [Associates and joint ventures] |                                 |                      |                                                                                     |               |                                |               |                 |                      |                 |            |                  |                 |                  |               |
|                                 | POSCO Eco & Challenge Co., Ltd. | Other projects       | New Songdo International City Development, LLC                                      | Mortgage loan | Debt assumption                | 494,000       | 308,900         | 308,900              | -               | -          | 72,300           | 236,600         | -                | -             |
| [Others]                        |                                 |                      |                                                                                     |               |                                |               |                 |                      |                 |            |                  |                 |                  |               |
|                                 | POSCO Eco & Challenge Co., Ltd. | Maintenance projects | Bangbae Shindonga Apartment Reconstruction and Maintenance Project Association, etc | Main PF       | Debt assumption                |               |                 |                      |                 |            |                  |                 |                  |               |
|                                 |                                 | Other projects       | Civic Center PFV                                                                    | Main PF       | Debt assumption                | 938,526       | 447,438         | 447,438              | 131,200         | -          | 54,500           | 132,358         | -                | 129,380       |
|                                 |                                 | Other projects       | LandmarkSewoon                                                                      | Main PF       | Debt assumption                | 45,000        | 45,000          | 45,000               | -               | -          | -                | -               | -                | 45,000        |
|                                 |                                 | Other projects       | DAON R/P Co., Ltd.                                                                  | Main PF       | Joint guarantee                | 50,000        | 50,000          | 50,000               | -               | -          | -                | -               | -                | 50,000        |
|                                 |                                 | Other projects       | Jeonju Eco-city                                                                     | Main PF       | Debt assumption                | 36,000        | 16,100          | 16,100               | -               | 16,100     | -                | -               | -                | -             |
|                                 |                                 | Other projects       | Aptoly HNG                                                                          | Main PF       | Debt assumption                | 53,300        | 22,800          | 22,800               | -               | -          | -                | 22,800          | -                | -             |
|                                 |                                 | Other projects       | ISLAND ONE CO., LTD.                                                                | Main PF       | Debt assumption                | 10,000        | 10,000          | 10,000               | -               | -          | 10,000           | -               | -                | -             |
|                                 |                                 | Other projects       | Jeonnam school keeper co. and others(*2)                                            | Main PF       | Supplemental funding agreement | 50,000        | 50,000          | 50,000               | -               | -          | -                | -               | 50,000           | -             |
| POSCO DX                        |                                 |                      |                                                                                     |               |                                |               |                 |                      |                 |            |                  |                 |                  |               |
|                                 |                                 |                      |                                                                                     |               |                                | 123,309       | 40,380          | 40,380               | -               | -          | -                | -               | 847              | 39,533        |
|                                 |                                 |                      |                                                                                     |               |                                | 1,306,135     | 681,718         | 681,718              | 131,200         | 16,100     | 64,500           | 155,158         | 50,847           | 263,913       |
|                                 |                                 |                      |                                                                                     |               |                                | ₩ 1,844,896   | 1,027,919       | 1,027,919            | 168,501         | 16,100     | 136,800          | 391,758         | 50,847           | 263,913       |

(\*1) The maintenance project mainly consists of reconstruction and condominium construction projects, and other projects consist of constructions of office buildings, retail shops, warehouses, and educational facilities.

(\*2) The obligation to supplement funding has been included in the Group's proportionate interests. The execution amount of the supplement funding obligation may vary depending on the fulfillment of such obligations by other construction investors or operational investors (Including other interests: guarantee limit of ₩1,122,320 million, outstanding loan balance of ₩371,034 million).

b. Details of conditional debt acceptance and principal and interest repayment commitments in the event of non-compliance with completion guarantee covenant as of June 30, 2025 are as follows:

| (in millions of Won) |                   |                         |                 |                            |                  |  |
|----------------------|-------------------|-------------------------|-----------------|----------------------------|------------------|--|
|                      |                   | Number of constructions | Contract amount | Contingency amount(*1)(*2) | Balance of loans |  |
| Maintenance projects | All               | 19                      | ₩ 9,107,710     | 3,612,841                  | 1,992,842        |  |
|                      | Between the Group | 19                      | 6,654,059       | 2,580,097                  | 1,302,116        |  |
| Other projects       | All               | 1                       | 2,197,729       | 5,350,000                  | 1,304,000        |  |
|                      | Between the Group | 1                       | 2,197,729       | 5,350,000                  | 1,304,000        |  |
|                      | All               | 20                      | 11,305,439      | 8,962,841                  | 3,296,842        |  |
|                      | Between the Group | 20                      | ₩ 8,851,788     | 7,930,097                  | 2,606,116        |  |

(\*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩24,755 million for maintenance projects.

(\*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.



**POSCO HOLDINGS INC. and its subsidiaries**  
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**34. Commitments and Contingencies (cont'd)**

c. Details of contingent liability for damages in the event of non-compliance with construction completion covenant as of June 30, 2025 are as follows:

| (in millions of Won) |                   | Number of constructions | Contract amount | Contingency amount(*1)(*2) | Balance of loans |
|----------------------|-------------------|-------------------------|-----------------|----------------------------|------------------|
| Maintenance projects | All               | 1                       | ₩ 305,519       | 76,000                     | 31,253           |
|                      | Between the Group | 1                       | 305,519         | 76,000                     | 31,253           |
| Other projects       | All               | 32                      | 9,936,502       | 10,699,200                 | 7,154,125        |
|                      | Between the Group | 32                      | 9,308,405       | 10,395,240                 | 6,884,523        |
|                      | All               | 33                      | 10,242,021      | 10,775,200                 | 7,185,378        |
|                      | Between the Group | 33                      | ₩ 9,613,924     | 10,471,240                 | 6,915,776        |

(\*1) The overlapping amount with other credit enhancement measures such as the agreed debt assumption upon loan origination amounts to ₩171,100 million for the maintenance projects.

(\*2) In the case of joint subcontracting projects, the total joint guarantee amount of the project participants has been disclosed. However, the final execution amount of completion guarantee may vary depending on factors such as the reasons attributable to the project participants upon actual execution of the completion guarantee.

② SOC projects

| (in millions of Won)                   |                                             | Credit enhancement measures                        | Number of constructions | Approved amount | Remaining balance after repayment |
|----------------------------------------|---------------------------------------------|----------------------------------------------------|-------------------------|-----------------|-----------------------------------|
| Provider                               | Recipient                                   |                                                    |                         |                 |                                   |
| <b>[Associates and joint ventures]</b> |                                             |                                                    |                         |                 |                                   |
| POSCO DX                               | Pocheon-Hwado Highway Corp. (*1)            | Providing funds                                    | 1                       | 24,923          | 22,323                            |
| POSCO Eco & Challenge Co., Ltd.        | Pocheon-Hwado Highway Corp. (*1)            | Providing funds                                    | 1                       | 319,515         | 286,183                           |
|                                        | POHANG E&E Co., LTD (*2)                    | Providing funds and supplemental funding agreement | 2                       | 71,930          | 41,808                            |
|                                        | Pureun Tongyeong Enviro Co., Ltd. (*2)      | Providing funds                                    | 1                       | 25,630          | 10,369                            |
|                                        | Pure Gimpo Co., Ltd (*2)                    | Providing funds                                    | 1                       | 51,565          | 22,210                            |
|                                        | Clean Iksan Co., Ltd (*2)                   | Providing funds                                    | 1                       | 44,054          | 21,146                            |
|                                        |                                             |                                                    | 7                       | 537,617         | 404,039                           |
| <b>[Others]</b>                        |                                             |                                                    |                         |                 |                                   |
| POSCO DX                               | Western Inland highway CO., LTD.            | Providing funds                                    | 1                       | 47,348          | 32,668                            |
| POSCO Eco & Challenge Co., Ltd.        | Western Seoul highway CO., LTD. and others  | Supplemental funding agreement                     | 11                      | 63,683          | 28,788                            |
|                                        | Western Inland highway CO., LTD. and others | Providing funds                                    | 42                      | 2,778,848       | 1,541,606                         |
|                                        | Pohang Youngil Bay New Port                 | Debt assumption                                    | 1                       | 2,250           | 1,440                             |
|                                        | Busan Sanseong Tunnel                       | Refinancing                                        | 1                       | 35,296          | 26,750                            |
|                                        |                                             |                                                    | 56                      | 2,927,425       | 1,631,252                         |
|                                        |                                             |                                                    | 63                      | ₩ 3,465,042     | 2,035,291                         |

(\*1) The Group provides a funding commitment of ₩308,506 million (including other shares: ₩558,079 million) equivalent to the Group's share of the loan balance for the private investment project.

(\*2) The Group provides a funding commitment of ₩93,319 million (including other shares: ₩170,617 million) equivalent to the Group's share of the loan balance for the private investment project.

**POSCO HOLDINGS INC. and its subsidiaries**  
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**34. Commitments and Contingencies (cont'd)**

3) Other guarantees

- ① As of June 30, 2025, the payment guarantees that the Group provides to clients, such as contract performance guarantees, installment guarantees, and defect guarantees, by purchasing insurance policies from guarantee insurance companies or issuing guarantee certificates are as follows:

(in millions of Won)

| Provider of credit enhancement         | Recipient of credit enhancement             | Types of guarantees                               | Agreed amount | Executed amount | Guarantor                          |
|----------------------------------------|---------------------------------------------|---------------------------------------------------|---------------|-----------------|------------------------------------|
| <b>[Subsidiaries]</b>                  |                                             |                                                   |               |                 |                                    |
| POSCO Eco & Challenge Co., Ltd.        | Ventanas Philippines Construction Inc       | Guarantee on performance for contracts and others | ₩ 10,589      | 10,589          | Credit Agricole and others         |
| POSCO GYR Tech                         | POSCO                                       | Defect liability warranty                         | 137           | 137             | CI Guarantee                       |
|                                        |                                             |                                                   | 10,726        | 10,726          |                                    |
| <b>[Associates and joint ventures]</b> |                                             |                                                   |               |                 |                                    |
| POSCO Eco & Challenge Co., Ltd.        | PT. Tanggamus Electric Power                | Letter of credit                                  | 2,767         | 2,767           | Hana Bank                          |
|                                        | PT. Wampu Electric Power                    | Letter of credit                                  | 2,442         | 2,442           | Hana Bank                          |
|                                        |                                             |                                                   | 5,209         | 5,209           |                                    |
| <b>[Others]</b>                        |                                             |                                                   |               |                 |                                    |
| POSCO Eco & Challenge Co., Ltd.        | DAEWOO ENGINEERING & CONSTRUCTION Co., Ltd  | Guarantee on performance for construction         | 9,682,535     | 8,748,885       | Construction Guarantee Cooperative |
| POSCO WIDE Co., Ltd                    | Human Eco-Land Co., Ltd.                    | Guarantee on performance and others               | 3,050         | 3,050           | Seoul Guarantee Insurance          |
| POSCO GYR Tech                         | KEPCO Plant Service & Engineering Co., Ltd. | Defect liability warranty                         | 71            | 71              | CI Guarantee                       |
|                                        |                                             |                                                   | 9,685,656     | 8,752,006       |                                    |
|                                        |                                             |                                                   | ₩ 9,701,591   | 8,767,941       |                                    |

- ② As of June 30, 2025, the primary payment guarantees and other guarantees that the Group is provided from the guarantee institution are as follows:

(in millions of Won)

| Provider                                    | Types of guarantees                                   | Agreed amount | Executed amount |
|---------------------------------------------|-------------------------------------------------------|---------------|-----------------|
| Construction Guarantee Cooperative          | Subcontractor Payment Guarantee and others            | ₩ 4,637,056   | 4,637,056       |
| Engineering guarantee insurance             | Guarantee on performance for EPC contracts and others | 913,756       | 694,482         |
| Seoul Guarantee Insurance                   | Construction performance guarantee and others         | 561,773       | 561,773         |
| Korea Housing & Urban Guarantee Corporation | Housing Guarantee and others                          | 5,103,989     | 5,098,302       |
| Woori Bank and others                       | Foreign currency guarantee                            | 1,886,928     | 772,729         |
| Korea software financial cooperative        | Guarantee on performance for contracts                | 122,976       | 122,976         |
| Seoul Guarantee Insurance                   | Guarantee on performance and others                   | 118,855       | 118,855         |
| Construction Guarantee Cooperative          | Guarantee on performance                              | 32            | 32              |
| CI Guarantee                                | Defect liability warranty                             | 208           | 208             |
|                                             |                                                       | ₩ 13,345,573  | 12,006,413      |

**POSCO HOLDINGS INC. and its subsidiaries**  
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**June 30, 2025 and 2024 (Unaudited)**

**34. Commitments and Contingencies (cont'd)**

(c) Other commitments

Details of other commitments of the Group as of June 30, 2025 are as follows:

| Company                         | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| POSCO HOLDINGS INC.             | <p>As of June 30, 2025, POSCO HOLDINGS INC. entered into a commitment with KOREA ENERGY AGENCY for long-term foreign currency borrowings, which are limited up to the amount of USD 1.05 million. The borrowing is related to the exploration of gas hydrates in Western Fergana-Chinabad. The repayment of the borrowings depends on the success of the projects. POSCO HOLDINGS INC. is not liable for the repayment of full or part of the amount borrowed if the respective projects fail. POSCO HOLDINGS INC. has agreed to pay a certain portion of its profits under certain conditions, as defined by the borrowing agreements. As of June 30, 2025, the ending balance of the borrowing amounts to USD 1.02 million.</p> <p>POSCO HOLDINGS INC. has deposited 85,083 treasury shares for exchange with the Korea Securities Depository in relation to foreign currency exchangeable bonds as of June 30, 2025.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| POSCO                           | <p>POSCO entered into long-term contracts to purchase iron ore, coal, nickel and others. The long-term purchase contract period is more than two years for iron ore, three years for coal, and one year for nickel. These contracts provide for periodic price adjustments based on the market price. As of June 30, 2025, 64 million tons of iron ore and 17 million tons of coal remained to be purchased under such long-term contracts.</p> <p>POSCO entered into an agreement with Tangguh Liquefied Natural Gas (LNG) Consortium in Indonesia to purchase 550 thousand tons of LNG annually for 20 years commencing in August 2005. The purchase contract period and volume are 550,000 tons per year for 20 years from August 2005, and 120,000 tons from September 2025 to March 2026. The purchase price is subject to change, based on changes of the monthly standard oil price (JCC) and with a price ceiling.</p> <p>POSCO has a long-term service contract for the transportation of raw material. As of June 30, 2025, there are 33 vessels under contract, and the average remaining contract period is about 6 years.</p> <p>POSCO entered into an agreement with POSCO INTERNATIONAL SINGAPORE PTE LTD. to purchase 370 thousand tons of LNG annually for 15 years commencing in November 2026. The purchase price is subject to change based on changes of U.S. Natural Gas Spot Price (Henry Hub). POSCO has option of additionally extending the purchase contract by five years.</p>                               |
| POSCO INTERNATIONAL Corporation | <p>POSCO INTERNATIONAL Corporation operates a ship-to-ship business in which ships are chartered from ship's owners and leased out to shippers. POSCO INTERNATIONAL Corporation has entered into a ship purchase agreement with the ship owners and the shippers, which obliges the shippers to pay the agreed amount either at the end of the contract terms or at the agreed termination and to take over the ownership of the vessel from the ship owners. Only if the shipper fails to fulfill its obligation including payment obligation for the purchase of the vessel, POSCO INTERNATIONAL Corporation is obliged to take over the ship based on the condition that the shipper's contractual obligations and rights are transferred to POSCO INTERNATIONAL Corporation. In May 2025, the shipper purchased two of the three chartered ship, resulting in the early termination of the ship purchase agreement.</p> <p>The Company invested in the Ambatovy Nickel Project (DMSA/AMSA) in Madagascar through the Korea Ambatovy Consortium (KAC) formed with Korea Mine Rehabilitation and Mineral Resources Corporation (KOMIR) and STX Corporation. SHERRITT INTERNATIONAL CORP., the operator, transferred a portion of the project's interests to Sumitomo and AHL (Ambatovy Holdings Limited) in November 2017, and transferred the remaining interests of the project to Sumitomo and AHL2 (Ambatovy Holdings II Limited) in August 2020. KAC has the rights and obligations to the 15.33% stake held by AHL and AHL2.</p> |
| POSCO Eco & Challenge Co., Ltd. | <p>As of June 30, 2025, according to the investor agreement for the construction of Samcheok Thermal Power Plant, POSCO Eco &amp; Challenge Co., Ltd. is obligated to make contributions for core capital, unqualified investment, excess expenses occurred for business, and acceleration of payment.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| POSCO FUTURE M CO., LTD         | <p>In accordance with the GP Shareholders Agreement with GM Battery Raw Materials Corporation ("GM"), the Company has an obligation to make additional capital contributions to ULTIUM CAM LIMITED PARTNERSHIP. As of June 30, 2025, the remaining amount of USD 637,042 thousand is scheduled to be contributed additionally by 2026 through capital call.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
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**34. Commitments and Contingencies (cont'd)**

(d) Litigation in progress

The Group is involved in 446 lawsuits aggregating to ₩1,204.7 billion as defendant as of June 30, 2025, which arise from the ordinary course of business such as claim for confirmation of employee status. The Group has recognized provisions amounting to ₩63.9 billion for 55 lawsuits based on its reliable estimate of outflow of resources.

(e) Other major contingencies for the Group as of June 30, 2025 are as follows:

| Company                         | Description                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| POSCO HOLDINGS INC.             | POSCO HOLDINGS INC. has provided 3 blank checks to Korea Energy Agency as collateral for long-term foreign currency borrowings.<br><br>The Company has a joint obligation with the company newly established through spin-off, POSCO, to discharge all liabilities (including financial guarantee contracts) incurred prior to the spin-off date. |
| POSCO INTERNATIONAL Corporation | As of June 30, 2025, POSCO INTERNATIONAL Corporation has provided 24 blank promissory notes and 15 blank checks to Korea Energy Agency and others as collateral for the guarantee on performance for contracts and others.                                                                                                                        |
| POSCO Eco & Challenge Co., Ltd. | As of June 30, 2025, POSCO Eco & Challenge Co., Ltd. has provided 38 blank checks and 4 blank promissory notes as collateral for agreements and outstanding loans.                                                                                                                                                                                |
| POSCO DX                        | As of June 30, 2025, POSCO DX has provided 7 blank checks to financial institutions as collateral for the guarantee on performance for contracts and others.                                                                                                                                                                                      |

**35. Cash Flows from Operating Activities**

Changes in operating assets and liabilities for each of the six-month periods ended June 30, 2025 and 2024 are as follows:

| <i>(in millions of Won)</i>           | June 30, 2025      | June 30, 2024    |
|---------------------------------------|--------------------|------------------|
| Trade accounts and notes receivable   | ₩ (1,000,685)      | (71,203)         |
| Other receivables                     | 214,898            | (28,163)         |
| Inventories                           | 1,541,145          | 511,035          |
| Other current assets                  | (97,333)           | (85,752)         |
| Other non-current assets              | (57,196)           | 8,506            |
| Trade accounts and notes payable      | (598,158)          | (417,073)        |
| Other payables                        | (243,815)          | (99,670)         |
| Other current liabilities             | 171,368            | (3,409)          |
| Provisions                            | (62,255)           | (75,432)         |
| Usable and profitable donation assets | -                  | 101,557          |
| Payments of severance benefits        | (210,762)          | (211,028)        |
| Plan assets                           | 210,154            | 107,555          |
| Other non-current liabilities         | 177                | (9,575)          |
|                                       | ₩ <u>(132,462)</u> | <u>(272,652)</u> |

**POSCO HOLDINGS INC. and its subsidiaries**  
**Notes to the interim condensed consolidated financial statements, continued**  
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**36. Operating Segments**

- (a) The Group's operating businesses are organized based on the nature of markets and customers. Operating segments were re-categorized according to the revised reporting materials provided to the management for decision-making. Meanwhile, the Group has restated the information of the reporting segments from the previous quarter in accordance with the changes in the operating segments.

Segment assets, liabilities and profit (loss) are generally measured based on separate financial statements in accordance with KIFRS of the subsidiaries that constitute reportable operating segments.

Meanwhile, the Group has classified the business segment, and the subsidiaries in each segments are as follows:

| Operating segments             |                      | Main Business                                                                                                        |
|--------------------------------|----------------------|----------------------------------------------------------------------------------------------------------------------|
| Steel                          |                      | Manufacture and sales of steel products                                                                              |
| infrastructure                 | Trading              | Supply and purchase transactions between domestic and foreign companies, power generation, and resource development  |
|                                | Construction         | Design, production and construction of steel mills and their facilities, commercial and residential facilities, etc. |
|                                | Logistics and others | Logistics, network and system integration business                                                                   |
| Rechargeable battery materials |                      | EV battery materials such as lithium, nickel, negative/cathode materials                                             |
| Others                         |                      | POSCO HOLDINGS, INC., Controlling company and Investment business                                                    |

The segment profit or loss does not reflect the consolidation adjustments allocated to each entity and is determined in the same way as the consolidated net income determined by KIFRS. Segment assets and liabilities are determined based on separate financial statements. There are various transactions between reporting segments, including disposal of property, plant and equipment and provision of construction services.

- (b) The information about reportable segments for each of the six-month periods ended June 30, 2025 and 2024 is as follows:

1) For the six-month period ended June 30, 2025

(in millions of Won)

|                        |   | Infrastructure |            |              |                      | Rechargeable battery materials | Others  | Total      |
|------------------------|---|----------------|------------|--------------|----------------------|--------------------------------|---------|------------|
|                        |   | Steel          | Trading    | Construction | Logistics and others |                                |         |            |
| External revenues      | ₩ | 18,695,251     | 12,077,007 | 2,955,818    | 136,875              | 1,092,230                      | 35,182  | 34,992,363 |
| Internal revenues      |   | 11,148,015     | 9,144,126  | 880,221      | 1,620,140            | 601,292                        | 832,780 | 24,226,574 |
| Inter segment revenues |   | 7,270,608      | 4,188,756  | 839,854      | 1,588,554            | 521,484                        | 824,197 | 15,233,453 |
| Total revenues         |   | 29,843,266     | 21,221,133 | 3,836,039    | 1,757,015            | 1,693,522                      | 867,962 | 59,218,937 |
| Segment profits (loss) |   | 578,230        | 201,823    | (126,581)    | 32,120               | (297,667)                      | 628,759 | 1,016,684  |

2) For the six-month period ended June 30, 2024

(in millions of Won)

|                        |   | Infrastructure |              |           | Logistics and others | Rechargeable battery materials | Others    | Total      |
|------------------------|---|----------------|--------------|-----------|----------------------|--------------------------------|-----------|------------|
|                        |   | Steel          | Construction | Trading   |                      |                                |           |            |
| External revenues      | ₩ | 19,656,551     | 11,240,401   | 3,825,727 | 193,314              | 1,607,490                      | 38,148    | 36,561,631 |
| Internal revenues      |   | 11,236,484     | 10,393,136   | 1,382,383 | 1,886,062            | 495,615                        | 1,077,385 | 26,471,065 |
| Inter segment revenues |   | 7,335,342      | 4,756,841    | 1,319,861 | 1,873,072            | 479,907                        | 1,066,528 | 16,831,551 |
| Total revenues         |   | 30,893,035     | 21,633,537   | 5,208,110 | 2,079,376            | 2,103,105                      | 1,115,534 | 63,032,697 |
| Segment profits        |   | 465,810        | 430,258      | 18,095    | 71,514               | (12,699)                       | 1,118,847 | 2,091,825  |

**POSCO HOLDINGS INC. and its subsidiaries**  
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**36. Operating Segments (cont'd)**

- (c) Reconciliations of the total segment revenues, profit or loss, assets and liabilities, and other significant items to their respective consolidated financial statement line items are as follows:

| <i>(in millions of Won)</i>             |   | <b>June 30, 2025</b> | <b>June 30, 2024</b> |
|-----------------------------------------|---|----------------------|----------------------|
| Total profit for the period             | ₩ | 1,016,684            | 2,091,825            |
| Fair value adjustments                  |   | (72,666)             | (34,317)             |
| Elimination of intra-group transactions |   | (515,937)            | (903,473)            |
| Income tax expense                      |   | 309,559              | 298,001              |
| Profit before income tax expense        | ₩ | <u>737,640</u>       | <u>1,452,036</u>     |

**37. Events after the reporting period**

- (a) Pursuant to the resolution of the Board of Directors on August 12, 2025, the Company decided to pay interim cash dividends of ₩2,500 per common share (Total dividends: ₩189.1 billion).
- (b) On August 5, 2025, the Company's subsidiary, POSCO CNGR Nickel Solution Co., Ltd., was liquidated.
- (c) Pursuant to the resolution of the Board of Directors on May 13, 2025, POSCO FUTURE M CO., LTD, a subsidiary, decided capital increase by issuing 11,483,000 common shares. The company conducted capital increase by firstly allocating shares to the current shareholders pro rata, then proceeding with the general public offering for the remaining shares. The date of new share placement is June 17, 2025, and issued shares were listed on the Korea Exchange on August 8, 2025.
- (d) Pursuant to the resolution of the Board of Directors on July 3, 2025, the Company decided to sell the shares in two subsidiaries, POSCO (Zhangjiagang) Stainless Steel Co., Ltd and Qingdao Pohang Stainless Steel Co., Ltd.
- (e) POSCO INTERNATIONAL Corporation, a subsidiary, resolved at its Board of Directors meeting on July 31, 2025, to sell the shares of eSteel4U, its subsidiary, to POSCO to enhance management efficiency.

**38. Uncertainty in Estimates Due to Imposition of Tariffs by the United States**

In June 2025, the U.S. government announced an executive order imposing a 50% tariff on all steel and aluminum products, effective from June 4, 2025. This tariff imposition introduces uncertainty in the estimation of financial statements.